SOVEREIGN TRUST

The Invisible Force Behind National Wealth

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A trade manuscript

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Sovereign Trust: The Invisible Force Behind National Wealth

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This is explanatory nonfiction. Scenes involving public officials are reconstructed from contemporaneous reporting, official statements, and market data. Dialogue is used only where it is on the public record. Figures that decompose yields into a Trust Residual are teaching devices, not the output of a secret model.

Suggested cataloguing: 1. Sovereign debt. 2. Trust. 3. Emerging markets. 4. Africa — Economic conditions. 5. Franc Zone.

First edition manuscript, 2026.

For the debt officer who still has to face the screen in the morning.

And for the citizen who pays the leftover without being shown the bill.

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Preface

This book began as an argument with a screen. Two names, same dollar, two prices. One of the names was a European treasury the world treats as furniture. The other was an African issuer the world had been happy to fund until it was not. The gap was not a mystery of oil or rainfall. It was a judgment about whether a state would still be itself when the coupon came due.

I have written it for the reader who already suspects that credit ratings arrive late, that nation-branding is not a yield, and that a shared currency — the CFA franc included — is furniture rather than fate. Cameroon, Nigeria, Senegal, Côte d'Ivoire, the CEMAC and WAEMU markets, and the Sahel's ruptured politics sit in these pages beside Germany, Korea, Uruguay, and the gilt hour of 2022. They are not a subsection. They are part of the mechanism.

The four marks — Restraint, Delivery, Repetition, Legibility — are a way to read a leftover. They are not a ministry reform kit dressed as literature. If a chapter reads like a workshop, I have failed it.

Yaoundé, Lagos, Dakar, and London taught the same lesson in different languages. Belief has a price. The price is paid every morning.

Kelly Mau Kingsley

2026

A note on method and numbers

Yields and spreads in this book are public prints or contemporary press levels, rounded for a general reader. They are not a live terminal. When I write “about 1,105 basis points” for Ghana in January 2022, I am following Bloomberg’s reporting of that week, not claiming a tick-by-tick reconstruction.

The Trust Residual is a looking-habit, not a published regression. Anyone selling a precise residual for one hundred and eighty countries is selling a product. Products have uses. They also have an incentive to look more scientific than the underlying judgment.

Francophone material draws on IMF staff reports and debt-sustainability annexes for Cameroon; Fitch and CAA publications; Senegalese Court of Auditors findings as reported in 2025; Reuters, FT, and S&P accounts of hidden debt and WAEMU holdings; BEAC and UMOA-Titres market notes; and Nigerian DMO, finance-ministry, World Bank, and IMF reconstructions of the 2023–26 reform years. Where later revisions disagree, I say so.

I do not invent dialogue for living officials. Where a minister is quoted, the line is on the public record.

Part I · The Invisible Invoice

Goal: hook the reader with the priced paradox before any model. Emerging-market cash on page one. Francophone and Nigerian invoices sit beside the Bund, not after it.

Chapter 1 · The Cheapest Money in the World

THE INVISIBLE INVOICE

Chapter 1

The Cheapest Money in the World

Two governments wanted the same thing in the same season: dollars that were not theirs, for a stretch of years, on terms they could live with.

One of them was Germany. In the early months of 2022 the Bund — the German federal bond that the rest of Europe still treats as a measuring stick — was yielding something that looked, to anyone who had to run a payroll in Accra or Lagos or Cairo, like a rounding error. For much of the prior decade the number had been worse than small. It had been negative. Investors paid Berlin for the privilege of lending to it. Even after inflation returned and the European Central Bank began to tighten, the German ten-year sat in a band that, on a bad week, still looked like two percent and change.

The other government was Ghana.

Ghana is not a mystery. It is a lower-middle-income country with a functioning democracy, a serious civil service, a history of peaceful transfers of power, and a talent for producing the kind of finance ministers who can work a room in London. In the cheap-money years after 2010 it had become, by one measure, the most enthusiastic African issuer of Eurobonds relative to the size of its economy. By the end of 2021 it had about thirteen billion dollars of those bonds outstanding. The coupons on the vintage notes were not modest — eight and nine percent is not modest — but the market had kept taking them. Until it did not.

In January 2022 the door shut.

Bloomberg put a number on the shutting. Ghana's dollar bonds had the worst start to the year among emerging-market sovereigns. The extra premium over U.S. Treasuries jumped to about 1,105 basis points. Thirteen of fourteen Ghanaian dollar bonds were trading through the line that credit desks still call distressed: a thousand basis points, ten full percentage points, over the American risk-free rate. A portfolio manager in London told a reporter he did not expect a default that calendar year, because reserves were still there, and then added the sentence that matters. Medium term, he said, it becomes an issue. Ghana had lost access to the Eurobond market for rolling over debt.

Write those two prices on a napkin.

Germany, early 2022: something close to nothing, then a climb that still left the Bund inside the world of single-digit cheapness.

Ghana, January 2022: more than eleven percentage points over Treasuries, and rising.

Same dollar. Same planet. Same week, more or less, in which a human being with a mandate could have bought either name. The gap is not explained by the chapter in the textbook called "fundamentals," not all of it, not in a way that leaves a reader calm. Ghana's debt-to-GDP had climbed. Inflation was coming. The Federal Reserve was about to remind the world that dollars have a home of their own. Those facts are real. They do not finish the sentence. Plenty of countries ran high debt ratios that winter and still printed. Plenty of countries faced the same Fed. They did not all find the door locked in the second week of January.

What was being priced, in that leftover, is the subject of this book.

Call it sovereign trust. The world's willingness to believe a state will still honour itself when it is costly to do so.

Not a mood. Not a nation-branding slogan. A priced residual. The market's running judgment about whether the people who sign the prospectus will still be the same kind of people when the coupon is due in a year that has gone wrong.

The invoice you cannot see until you look

A basis point is one hundredth of one percent. A thousand basis points is ten percent. The phrase is designed to sound small. It is not small.

Take a billion dollars. That is a round number, not Ghana's whole stock, just a unit the mind can hold. At two percent, the annual interest bill on that billion is twenty million dollars. At twelve percent, it is one hundred and twenty million. The difference — a hundred million dollars a year, on a single billion — is not an abstraction. It is wards, roads, teacher pay, the subsidy that keeps the lights on, the seed that never gets bought. Ghana's problem in 2022 was larger than a single billion and uglier than a clean coupon comparison, because once the door shuts you do not get to pick a new rate. You roll what you can at home, at rates that punish the banks and the pension funds that hold the paper, or you stop paying foreigners and enter the long corridor called restructuring.

By December, Ghana's finance minister, Ken Ofori-Atta, was telling the country that interest payments were consuming between seventy and one hundred percent of government revenues. Fitch, which does not do poetry, said that besides default-stricken Sri Lanka it was the worst such statistic in the world. The cedi had a violent year. Inflation went to levels last seen when many of the people now running ministries were children. In December the government suspended payments on its commercial foreign-currency debt.

The rating agencies wrote the letters they keep for that moment: SD, D, selective default.

None of this was ordained by geography. Ghana sits on gold and cocoa and oil. It has a coastline and a language the Eurobond market already speaks. It had, for a decade, been treated as a success story in the particular way markets treat success: they lent it more. The lending was not a gift. It was a bet that the story would still be true at maturity.

When the bet flipped, the invoice arrived all at once.

Germany, in the same era, could still borrow as if the question of repayment were slightly rude to ask. That is not because Germans are more virtuous in some private sense. It is because two centuries of fiscal and institutional habit — and, more recently, the fact that the Bund is the collateral of a continent — have taught the market a reflex. When in doubt, take Berlin. The reflex has a price. The price is cheap money.

This book is about that reflex. How it is taught. How it is faked. How it breaks in an afternoon. How it is rebuilt on a clock that humiliates politicians.

A definition you can repeat

Sovereign trust is the world's willingness to believe a state will still honour itself when it is costly to do so.

Honour, here, is not a sermon. It includes paying the bond. It also includes not confiscating the bank account, not rewriting the inflation statistics, not sacking the statistics office, not turning the court into a faction, not printing the gap after promising not to. The market is less moral than this list sounds. It will fund a competent extractor for a while. It will fund a charming incompetent for a shorter while. What it will not do, except by accident and only briefly, is fund a story it has already stopped believing at the price of a story it still believes.

That difference is the cheapest money in the world, and the dearest.

You can watch it without a Bloomberg terminal. You watch it when a finance minister postpones a roadshow. You watch it when a central bank burns reserves to defend a line that everyone in the room knows is theatre. You watch it when a rating agency, late as usual, moves a letter and the pension fund's mandate forbids the name. You watch it when your own currency buys less bread than it did in June and nobody in the cabinet can say whether the cause is the war, the weather, or the fact that the people who lend you dollars have gone home.

The textbooks will give you debt-to-GDP, the primary balance, reserve months of imports, the current account, growth. Keep them. They are not nothing. They are the visible

bones. This book is about the thing that sits on the bones and decides whether the skeleton can still borrow.

The pair on the page

The pairing of Germany and Ghana is not a morality play. It is a laboratory.

Germany in 2022 was not a saint of public finance. It had a debt stock. It had an energy shock coming. It had a war on the continent. It had a constitutional debt brake that politicians had already learned to argue with. What it had, still, was a signature the market could read in the dark. Courts that function. Statistics that are boring. A treasury that issues on a calendar, not a prayer. A political fight that, even when ugly, does not usually include the question of whether the Bund itself is a rumour.

Ghana in 2022 was not a failed state. Elections happened. Newspapers printed. The Bank of Ghana published. Officials flew to Washington and told the truth as they understood it. What had eroded was the market's belief that the arithmetic could close without someone being sacrificed in a way that would break the paper. Debt had doubled as a share of output across a decade. Interest had eaten the budget. The Eurobond market — which is not a court and not a parliament — delivered a verdict that no speech could appeal.

The interesting question is not which country is better. The interesting question is what, exactly, the verdict was made of.

If the answer were only "Ghana had more debt," the book would be short. Plenty of high-debt countries borrow cheaply. Japan has lived for decades with ratios that would get an African issuer a lecture. Italy's debt is a European soap opera and still clears. The United States runs a political circus over the debt ceiling and still sets the risk-free rate that everyone else is measured against. Debt is a number. Trust is a judgment about the people who will be in the room when the number gets worse.

If the answer were only "Ghana is poorer," the book would also be short. Poor countries have borrowed cheaply after they became believable. Korea did it. Chile did it for a long stretch. Botswana, sitting on diamonds that have wrecked other treasuries, built a habit of not spending the rock as if it were a salary. Poverty explains a lot about tax bases and shock absorption. It does not explain why two poor countries, side by side, can face two different invoices for the same dollar.

If the answer were only "ratings," we would be finished by lunch. Ratings are a lagging letter. They are useful. They are not the thing. Ghana's letters were already sliding in January. The market had moved first. That order — market, then letter — is common, and it is one of the reasons this book treats rating agencies as referees rather than as God.

What remains, after you have subtracted the obvious, is a leftover. In later pages it will get a name: the Trust Residual. For now it is enough to feel it. It is the part of the yield that is really a sentence about the future tense of the state.

A room, not a theory

The people who price this leftover do not think of themselves as philosophers. They sit on emerging-market desks in London, New York, Accra, Lagos, Dubai. They have a mandate, a risk limit, an index, a credit committee, and a screen. The screen is not romantic. It shows a yield, a spread, a price, a cash price as a percentage of face, a duration, a rating, a piece of news in a headline font designed to produce a small spike of cortisol.

When Ghana's bonds fell ten percent in ten days at the start of 2022, someone on those desks had to decide whether this was a buying opportunity or a funeral. The decision is not made by "the market" as a weather system. It is made by a finite number of people who can be fired, who have clients, who remember the last time they bought the dip in a name that then defaulted. They read the budget. They read the IMF staff report if there is one. They listen to the finance minister on the roadshow replay. They look at the reserve number and wonder whether it is still true. Then they look at the colleague across the aisle who sold last week.

That is the room in which sovereign trust is invoiced.

It is a different room from the one in which a president explains a new industrial policy. It is a different room from the one in which a ratings analyst builds a scorecard. It is closer to a court than either, and worse than a court, because there is no appeal and the jury can leave.

Germany has a room too. The Bund is not priced by sentimentality. It is priced by the fact that if you need high-quality collateral in euros you end up there, and by the further fact that a century of disaster taught German politics a fear of inflation that the market has chosen, so far, to treat as a feature. The cheapness of German money is the compound interest of being believed.

What this book is not

It is not a manual for rating sovereigns. Those already exist, and they are long.

It is not a history of every default since Waterloo. Carmen Reinhart and Kenneth Rogoff wrote the book that ended the sentence "this time is different," and they did it with eight centuries of data. That work stands. This one is after a different animal: the everyday premium, the money you pay in the years when you are not defaulting, because the world is not quite sure you won't.

It is not a hymn to emerging markets or a scolding of them. The cheapest money in the world is a European product at the moment. That will not always be true. It was not always true. The argument of the last chapter is that the next signatures worth learning are being written, badly and well, in places the existing canon still treats as a subsection.

It is not a claim that trust is a substitute for revenue. A state that cannot tax will eventually steal or print. Trust without a tax base is a good speech. The residual that markets price sits on top of arithmetic. It does not replace it.

Four marks, not twenty indicators

There is a twenty-indicator way to do this subject. Analysts like indicators. Ministries like scorecards. This book will not pretend the indicators are useless. They live in the back, in a toolkit, grouped under four questions the market actually asks.

Restraint. Will they loot the future?

Delivery. Can the machine actually work?

Repetition. Do they do it after the cameras leave?

Legibility. Can outsiders see it in time to price it?

Together they make a signature. Markets do not score twenty cells in real time. They recognise a pattern. A country's way of keeping or breaking a promise has a handwriting. You can forge the handwriting for a season. You cannot forge it for a decade without the spread finding out.

The four marks are not virtues on a poster. Restraint can look like cruelty if you are the citizen who needed the spending. Delivery can look like competence in the service of extraction. Repetition can be the repetition of a bad habit. Legibility can be a beautiful prospectus over a rotting treasury. The book will not cheerlead the words. It will watch what they do to the price.

Why start in Accra rather than in Berlin

Most sovereign-finance books start in the places that already have cheap money and then, in chapter twelve, visit everyone else. That order is a habit, and it is a bad one. The invoice is easiest to see where it hurts. Ghana in 2022 is not a morality tale about Africa. It is a clear print of a universal mechanism. The United Kingdom, twelve months later, would demonstrate that a G7 country can frighten its own pension system with a single unfunded speech. The mechanism does not require a tropical climate. It requires a moment when the people who lend you money decide they no longer know who you are.

Starting with Ghana has a second use. It refuses the reader the comfort of tourism. If you live in Lagos or Nairobi or Cairo, you already know what a closed Eurobond market feels like in the price of fuel. If you live in London or Frankfurt, you are used to treating that feeling as a news item. The point of putting the expensive invoice first is to make the cheap one look as strange as it is. Germany's two percent, or America's four, is not nature. It is an achievement that can be wasted.

The journey

Part I stays with the paradox long enough for it to become a tool. History first — how belief became a traded object. Then the channels: yields, currencies, capital flight, the hospital that did not get built. Then the residual itself, drawn so a non-economist can use it without pretending to have a trading desk.

Part II is the handwriting. Four chapters, four marks, each opened on a country that had to answer the question in public. A fifth chapter on forgeries, because communication is the most flattered word in this business and the most abused. A sixth on what happens when the marks disagree.

Part III is the market. How a bond is born. Who the referees are. How trust collapses. How it is rebuilt. What climate money and digital currencies are doing to the test.

Part IV is the point. How to read your own country. What happens when rich countries lose the habit. Why the next century's signatures will be written, a large part of them, in economies that the old books still file under "other."

The appendix is a field guide: a scorecard, worked examples, a glossary that does not assume you live in credit. Use it or ignore it. The argument does not depend on you becoming an analyst.

A last number before the history

A hundred million dollars a year, on a single billion, between two percent and twelve.

Ghana's external interest bill in 2022 was larger than a teaching example. The ministry reported about 1.28 billion dollars of external interest and charges. That is a fleet of things a country could have been. It is also, in a default year, a number that stopped being paid on the commercial slice and became a negotiation.

The cheap money in Berlin that same year was not charity. It was the market saying: we know this signature. We have seen it in wars and in peacetime and in the peculiar long afternoon of the euro. We will take a little coupon and sleep.

That sentence — we know this signature — is the most valuable sentence in public finance. It is also the easiest to waste. The rest of the book is about how a country gets to

hear it, how it loses it, and what the loss costs in the only unit that never requires a translation.

Basis points. Paid every morning. Whether anyone in the cabinet is looking at the screen or not.

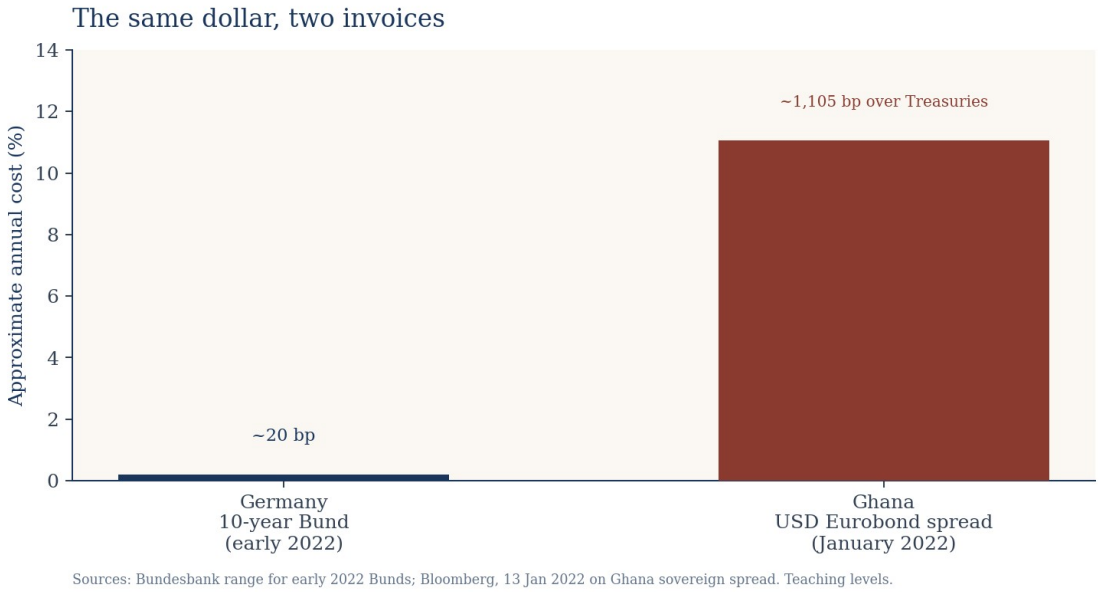


Figure 1. The same dollar, two invoices.

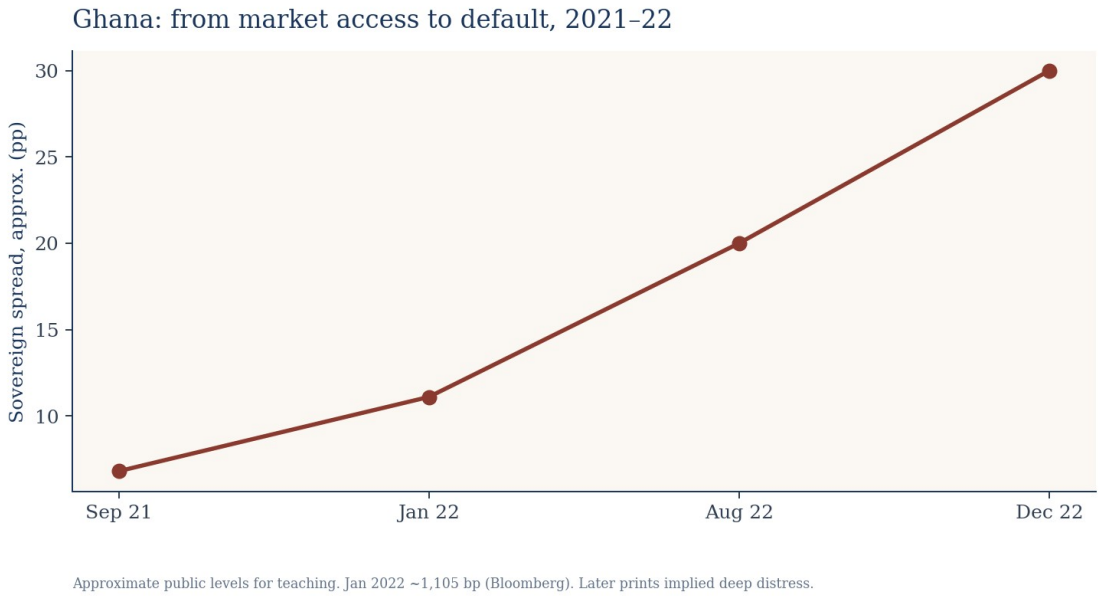


Figure 2. Ghana, 2021–22: a door shutting in public.

The same dollar, more invoices

Germany and Ghana are the pair that teaches the eye. They are not the only pair.

In the years after cheap money ended, Côte d'Ivoire could still print a dollar bond the market treated as a West African senior. A January 2024 issue of $2.6 billion was read by Fitch as room to breathe. A March 2025 issue of $1.75 billion drew more than double the paper on offer; the notes due 2036 were said to yield 8.45 percent, and after a euro-dollar hedge the effective cost was talked down toward 6.4. Abidjan even sold a CFA tranche into international books — a first the treasury was not shy about. That is a leftover that still looks like membership.

Cameroon, in the same broad season, sold privately. July 2024: about $550 million at 9.5 percent due 2031. January 2026: $750 million at 8.875 percent due 2033. Fitch kept the name at B with a negative outlook and wrote the IMF programme into the financing plan. The coupon was not Abidjan's coupon. It was not Accra's distressed print either. It was the quiet middle of the African dollar book: access without applause.

Nigeria spent nearly $3 billion servicing Eurobonds across eight quarters after mid-2023, most of it interest. A later dual-tranche issue drew a book the DMO called a record. Coverage and service can live in the same paragraph. The residual is which sentence lasts.

Senegal, after the audit, taught the other end of the napkin. A name that had printed at 4.75 percent in the sweet year was, on a bad Monday in 2025, a mid-teens yield and a prime minister who would not say the word restructuring.

Write those invoices next to the Bund. The gap is the subject. Geography does not close it. The CFA franc does not close it. A democracy sentence does not close it. What closes a little of it, for a while, is a signature the market can read in the dark.

Lagos, before the window broke

A reader sitting in Lagos in May 2023 did not need a Ghana lecture to know what an invoice looks like. The official dollar was one number. The street dollar was another. The gap had been sixty percent and more. Fuel was cheap at the pump and expensive in the federation account. Debt service, on some official tellings, had eaten the revenue. The naira was a costume. Costumes have a cost.

When the new administration named the subsidy and unified the official windows, the costume came off in public. That is rare. Most countries let the costume tear. Nigeria pulled it. Inflation took the street. Revenues in naira jumped because oil was converted at a rate that looked like a market. The naira cost of the old dollar debt exploded. A billion dollars of Eurobonds did not become a different billion. It became a different number of naira in the budget. Finance-ministry tables later put that exchange-rate effect in the trillions.

The cheapest money in the world, from Lagos, was never the Bund. It was the official window. Someone received dollars at a price the street did not believe. That someone was paying a leftover of another kind: a political leftover, billed to whoever did not get the window. Sovereign trust is not only what foreigners believe about a treasury. It is what a city's parallel market already knows.

Yaoundé's two rooms

Cameroon lives in two rooms at once.

One room is London, or the private channel that still uses London's language: a placement, a coupon, a sinking fund with a French name — the Caisse Autonome d'Amortissement — that publishes amortisation as if publication were a virtue, which it is. The 2015 Eurobond pays down. The 2024 and 2026 placements exist. Missed coupons are not the story.

The other room is the BEAC's auction. Six treasuries. A book that grew from almost nothing in 2011 to more than 10,500 billion CFA francs by July 2026. Cameroon is the third issuer and the first holder. Gabon and Congo issue more onto that book. Cameroonian banks, insurers, and funds own half of it.

A country that holds its neighbours' paper is a creditor. A country that also needs the same auction to clear its own bills is a debtor in the same room. That double position is a leftover you will not find in a debt-to-GDP ratio. It is why a failed auction in Brazzaville is not a foreign-news item in Douala. It is a bid item.

The Fund's 2026 Cameroon file said the regional market was nearing saturation and that Yaoundé's old advantage there was slipping. Subscription rates in the zone had already collapsed in 2024, from something like eighty percent to something like forty-three. Failed auctions had become ordinary in the oil names. Congo had reprofiled. Those facts belong in Chapter 1 because they are an invoice. Not eleven hundred basis points over Treasuries. A quieter invoice: the neighbour will not take the paper at last year's price.

What the napkin is for

The napkin from the opening pages still works. Two prices. Same dollar. A leftover.

Add a third line for a CEMAC bill. Seven percent, more or less, in a year when the auctions were sour, inside a currency pegged at 655.957 to the euro. Add a fourth line for a CEMAC bond. Ten percent, give or take, on the OTA. Add a fifth for Senegal after the court of accounts. Mid-teens on a bad print.

The point of the napkin is not to rank the wicked. It is to stop a reader from treating "African risk" as a single number. Abidjan, Yaoundé, Lagos, Dakar, and Accra are not a

yield. They are five judgments about whether a state will still be itself when the coupon is due.

Germany remains on the page because the Bund is how the world still writes “safe” when it is in a hurry. Ghana remains because 2022 is how the world writes “the door shut.” The new lines are there because the reader of this book is allowed to live in Douala or Ikeja and not be treated as a footnote to Accra.

A hundred million dollars a year, on a single billion, between two percent and twelve, is still the unit. Cameroon’s commercial external stock is smaller than Nigeria’s Eurobond stock. Senegal’s dollar bonds were never the whole lie; the lie was the CFA loans that did not enter the table. CEMAC’s 10,500 billion CFA francs of regional paper is a unit the size of a small country’s economy. Someone holds it. Half the time, in 2024, that someone had a Cameroonian address.

Belief has a holder. The holder has a concentration. Concentration is a residual that does not wait for a rating letter.

A preview of the marks

The four marks arrive formally in Part II. They earn a mention here because the napkin is otherwise a tease.

Restraint is whether someone can spend without a second signature, and whether that rule survives a succession. Senegal’s second-term borrowing without parliamentary authorisation is a restraint failure with a yield.

Delivery is whether the refinery and the payroll close. SONARA is a delivery sentence. So is a fuel subsidy that crawls back after it was named.

Repetition is whether the honest thing is done twice, on a calendar, by more than one team. Nigeria’s unified window will be a repetition story or a one-year story. The market has not decided. It will.

Legibility is whether a stranger finds the same stock a court of accounts would find. Dakar failed that test in public. CEMAC’s auction calendar is readable. CEMAC’s true bid — who failed to subscribe, in which capital — is less so, unless you read the monetary-policy report to the end.

The cheapest money in the world sits at the top of all four marks. The dearest sits where two of them have already gone. The rest of the book is the slow work of saying which two, in which capital, in which year.

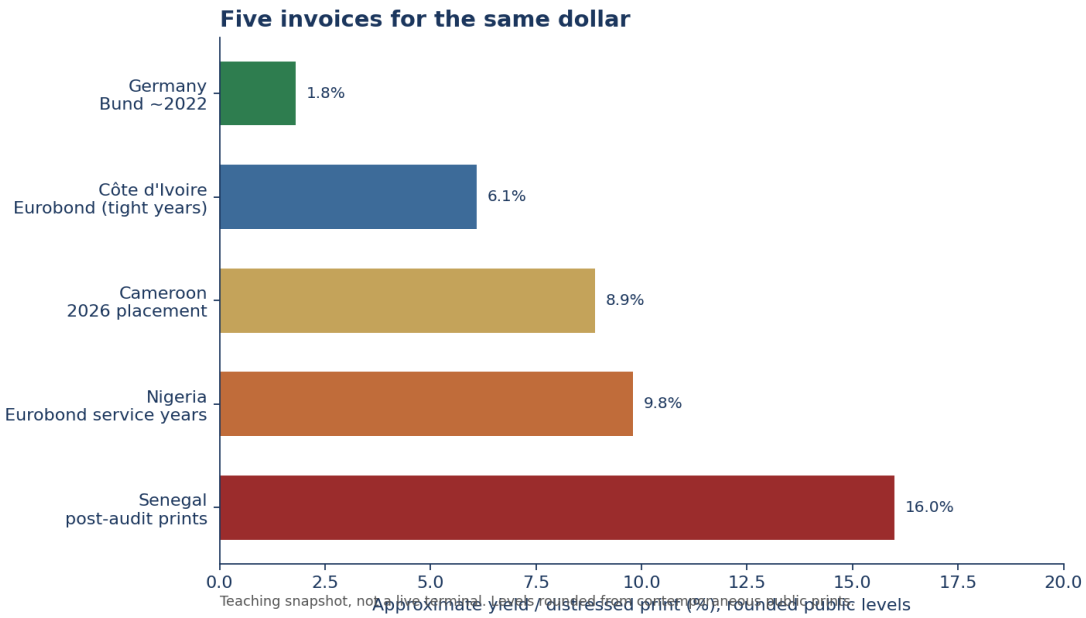


Figure 3. Five invoices for the same dollar.

Chapter 2 · A Brief History of Being Believed

A Brief History of Being Believed

The oldest sovereign bond is a promise that a man who cannot be arrested will pay you anyway.

Kings default. That is not a modern discovery. Medieval English monarchs pawned jewels, seized wool, expelled creditors, and called the result policy. Early-modern Spanish Habsburgs suspended payments so often that Genoese bankers treated a Castilian bankruptcy the way a farmer treats winter: unpleasant, expected, priced. The French crown rolled its debts through a revolving door of rentes and forced conversions. The Ottoman state, the Qing, the tsars — pick an empire. The pattern is the same. Power wants money now. The future is a foreign country that has not yet raised an army.

What changed is not human nature. What changed is that the promise became an instrument you could sell to a stranger, and then a price you could read every day, and then a letter issued by a private firm in New York.

This chapter is the short version of that change. From trust the king, to trust the institution, to trust the data. The point is not coverage. The point is to see when belief stopped being a personal relationship and became a traded object.

Trust the king

Before there was a market in sovereign risk there was a person. You lent to a prince because you sat at his table, or because you had a tax farm, or because your family had been lending to his family since someone still remembered a crusade. Default was a political event, not a spread. You collected by remaining useful, or by holding a port, or by having cousins in the next court.

The Italian city-states made the first serious attempt to turn the personal into the impersonal. Venice and Florence and Genoa issued claims that looked, at a distance, like public debt. They were still soaked in faction. A change of regime could orphan a bond. The Dutch Republic did better, in the seventeenth century, because the debt was understood to belong to a commercial state rather than to a man. Amsterdam’s renten were dull, which is the highest compliment a public liability can be paid. Dull debt is debt you can sell to a widow.

Britain, after a revolution and a messy seventeenth century, stumbled into the arrangement that still sits under modern cheap money. Parliament would have to approve taxation. The Bank of England, chartered in 1694, would sit between the crown and the market. The national debt would be perpetual enough to become a habit. Consols —

consolidated annuities — paid a coupon forever, in theory, and the price of that forever became the daily referendum on whether London was still itself.

Niall Ferguson and a shelf of fiscal historians have told this story properly. The compressed version is enough here. Britain did not become believable because it was kind. It became believable because it built a machine that made repudiation more expensive, politically, than payment. The machine leaked. It favoured some creditors. It coexisted with empire and with sinking funds that did not always sink. It still produced, over a long nineteenth century, the closest thing the world had seen to a risk-free rate.

That is the first shift. Trust moved from the body of the king to the furniture of the state.

The courier and the myth

The Rothschilds enter every popular history of sovereign debt at Waterloo, usually on a horse that never existed.

The libel is specific. Nathan Rothschild learns of Wellington's victory before London does, either because he was there or because a pigeon or a storm-defying boat told him. He walks onto the Exchange looking stricken. Consols fall. He buys. The official news arrives. He is rich beyond measure. The story was useful to people who needed a Jewish financier to be both omniscient and treacherous. Goebbels later put a version on film. It is, in the form that travels, false.

Nathan Rothschild was not at Waterloo. The first authentic news of the victory to reach London does not appear to have been his. The Exchange did not stage the theatrical collapse the pamphlet required. The family's money in those years was made in a less cinematic business: moving bullion and subsidies across a continent at war, taking the risk that a government would pay for the movement. Their edge was a network, not a magic bird.

The true story is more useful to this book than the false one. Sovereign finance, in 1815, was already a market in information. Who knew that a state had won, or would pay, or would need another loan, was worth a price. The Rothschilds were not unique in wanting the news early. They were unusually good at building a private wire before the state had one. That is proto-legibility. It is also proto-insider advantage. The modern rating agency, the modern data vendor, the modern central-bank speech that moves a curve — all of them sit on the same fault line. Belief is valuable. The people who manufacture the evidence of belief will always be tempted to get there first.

Britain's postwar borrowing, the great loans that paid for victory and occupation, was the other half of the real story. Contractors to government loans made fortunes in a thin market. The state that could still issue after a generation of war had a signature. The signature had a coupon.

Trust the institution

The nineteenth century turned sovereign debt into an asset class that a gentleman in London or Paris could hold without knowing the minister. Railways in Argentina. Mines in the Ottoman lands. Guns for a Balkan prince. The London house issued the prospectus. The coupon was payable at a window you could walk to. Default became a scandal in the newspapers rather than a matter for the palace.

Then the scandals arrived on schedule. Egypt's debt and the politics that followed. The Ottoman default. Latin American issues that paid for a season and then did not. The Baring crisis of 1890, when a respected house found itself on the wrong side of Argentine paper and had to be managed so that London itself would not catch fire. Each episode taught the same half-lesson. Institutions in the creditor countries — banks, stock exchanges, eventually governments acting as fire-brigades — could socialise some of the damage. Institutions in the debtor countries were the actual collateral, and they were uneven.

Rating agencies were born in this climate, first as compilers of railroad information in the United States. John Moody published analyses of railway securities in 1909. Poor's had been at the data longer. Sovereign ratings, as a product you could buy, came later. In the years around the First World War and after, the agencies began to put letters on countries. The letters were crude. They were also a technology. They promised a stranger that someone had read the fiscal accounts so you did not have to.

The interwar period punished the promise. Germany's reparations and the Dawes and Young plans. The 1931 cascade. Sterling off gold. A generation of Latin American and European defaults. The League of Nations tried to be a referee and discovered that referees without money are essayists. By 1934 even the United States had made its own domestic creditors take paper instead of gold. Reinhart and Rogoff later counted the wreckage and found that advanced countries are not immune. They are just better at calling their defaults by other names.

Bretton Woods, after 1944, put a temporary lid on the problem by suppressing a good deal of private sovereign lending. Official money — the Fund, the Bank, the aid ministries — filled the gap. For a quarter-century the question of whether a poor country would pay a bondholder in New York was less urgent than whether it would follow a programme and keep its exchange rate in a band. That did not abolish sovereign risk. It relocated it into politics and into the inflation that lives inside a peg.

When the lid came off, in the 1970s, the recycled oil money had to go somewhere. It went into syndicated loans to governments that were happy to sign. The 1982 Mexican weekend, and the lost decade that followed in Latin America and parts of Africa, was the market discovering that a syndicated loan to a sovereign is still a promise by a person who cannot be arrested. Brady bonds, at the end of that decade, turned the mess back into

instruments you could trade. Once you can trade the instrument, you can price the leftover. The emerging-market bond index was not a literary event. It was the moment the leftover became a number on a screen that a generalist could be shown.

Trust the data

The last shift is the one we live inside.

From the 1990s onward a country that wanted cheap dollars had to become readable. Article IV reports. Inflation series. A debt-management office with a website. A central bank that published a forecast and pretended the forecast was a commitment. Rating committees that asked for the medium-term fiscal framework. Investors who ran a model and then, because the model was not enough, flew in for two days and ate the same hotel breakfast.

Data made trust look scientific. That was progress. It was also an opening for theatre. If the number is the thing, the temptation is to manufacture the number. Greece found this out in public. So have smaller statistical offices that never made the Financial Times. So have rich countries that revise inflation baskets and wonder why the bond market yawned.

The cheap-money decade after 2010 intensified both halves of the shift. Yields in the core went to zero and below. Pension funds and asset managers, hunted out of Bunds and Treasuries, bought Ghana and Zambia and Egypt because the coupon still looked like a living. The data were available. The roadshows were polished. The residual — the part of the price that was really a judgment about the future tense of the state — compressed. People called this a search for yield. It was also a search for signatures that would do, for a while, in a world where the old signatures paid nothing.

When the Federal Reserve began to take the punchbowl back, the leftovers reasserted themselves in a hurry. January 2022 in Accra was not a unique moral failure. It was a reminder that data without restraint, delivery, and repetition is a prospectus. The prospectus can be beautiful. The screen is not obliged to care.

Three sentences that survive the tour

Belief became a price when debt became impersonal.

Institutions made the price more stable by making repudiation politically expensive.

Data made the price more precise, and therefore more forgeable.

The rest of the book takes those sentences into rooms that still have people in them. The history is not a museum. It is the reason a Bund and a Ghanaian Eurobond can exist on the same screen and mean two different claims about the future.

The African half of the same history

The tour from kings to consols to rating letters is usually told as a European story with an American sequel. That telling leaves the reader of this book half-educated.

West and Central Africa entered the impersonal-debt world as colonies first. Loans contracted in Paris and London were sovereign in the legal sense that a ministry in the metropole stood behind them. They were not sovereign in the sense this book uses the word. The signature on the paper was not the signature of the people who would later have to pay. Independence converted those liabilities, or portions of them, into the debts of new states. The conversion was a legal event. Belief did not convert with it.

The 1970s oil money and the syndicated-loan boom reached Lagos harder than they reached Yaoundé. Nigeria, briefly rich in a way that photographed as destiny, borrowed as if the price of crude were a constitution. When the price fell, the signature had to live on tax effort and on official creditors who do not trade a leftover every morning. Cameroon's oil was smaller and later; the pattern was cousin to Nigeria's, not a copy. The 1980s African debt crisis is often told as a morality play about corruption. Some of it was. Some of it was the same discovery Mexico made in 1982: a syndicated loan to a sovereign is still a promise by a person who cannot be arrested, and the person had signed for a commodity price that had left the building.

Official money then did what official money does. Paris Club. London Club. Structural adjustment. The CFA franc, which had been furniture since the late 1940s, was devalued by half in January 1994 — from 50 to 100 CFA francs per French franc — in a weekend that still sits in the memory of anyone who priced goods in Douala or Abidjan that month. The devaluation was a restraint event imposed from outside and a delivery event imposed on the street. It was also, in the terms of this book, a legibility event. The peg had been treated as nature. Nature moved. The BEAC and the BCEAO kept the furniture after the move. They have spent the thirty years since insisting that the next move is not coming. January 2026's devaluation denial in Yaoundé is a grandchild of 1994.

HIPC and the multilateral debt relief of the 2000s wiped a generation of official claims off several African books, Cameroon's included. Relief is not a signature. It is a reset. A reset can be used to build furniture — a debt-management office, a calendar, a statistics law — or to start the clock again on a new stock. Many countries did both. The Eurobond decade after 2007 was the new stock.

Gabon printed a dollar bond in 2007. Ghana followed in a size that made Accra a regular. Senegal's 2009 issue was the calling card Chapter 9 already named. Côte d'Ivoire returned to the market after a civil war and made frequency a habit. Nigeria, too large to be a debutante for long, became a regular of the dollar book and a prisoner of its own windows. Cameroon's 2015 Eurobond was smaller and later. The names differed. The technology was

the same: a prospectus a stranger could read, a coupon payable in New York or London, a leftover that compressed while core yields sat near zero.

Rating agencies arrived as part of the same kit. A letter was the ticket to a mandate. The letter was crude, as it had been in 1919. It was also a technology. African ministries hired consultants to speak the technology. Some of the speech was real reform. Some of it was theatre with a medium-term fiscal framework attached. The cheap decade did not require the reader to tell the two apart. The expensive decade does.

What 1994 and 2007 rhyme with

Two dates on the African calendar do the work Waterloo does in the European telling, without the pigeon.

1994: the CFA moves. Belief in the peg survives, at a new number. The street pays immediately. Official creditors call it adjustment. Thirty years later the residual still prices the possibility of another weekend even when the central bank denies it. That is trust as memory.

2007 and after: the prospectus replaces the Paris Club communiqué as the public face of African sovereign debt. Belief becomes a coupon a fund in Boston can hold. The coupon is not cheap by Bund standards. It is cheap by the standards of a continent that had spent twenty years talking only to official rooms. When the Fed took the punchbowl, the coupon remembered what it was.

A third date belongs with them. June 2023 in Abuja, when a president named a subsidy and a window on the same calendar. That is not a nineteenth-century story. It is the moment a large African state tried to stop forging the price of its own money. Chapter 10 takes the stress that followed. Chapter 2 only needs the placement: the history of being believed, on this coast, includes the history of two prices for one dollar.

The CFA as an old technology of belief

The franc zone is older than most of the states that use it. Three agreements, three central banks, a peg that moved from the French franc to the euro at 655.957 without a new political conversation most citizens were invited to. France’s convertibility guarantee is the option the residual remembers. The operational account at the French Treasury is the pipe critics name when they want a symbol. Since 2019 France has left the BCEAO’s governing bodies. It still sits, as a minority, at the BEAC. The furniture changed. The leftover did not become a Bund.

WAEMU used the years after 1998 to build a government-securities market and to kill central-bank advances by 2010. CEMAC used the years after 2011 to start the same market later and thinner. That divergence is Chapter 9’s depth story. It is also Chapter 2’s

institutional story. Two unions, same colonial grandfather, different furniture built in the house. Trust the institution, on this coast, means trust which institution: the BCEAO that closed advances, or the BEAC that still has to deny a rumour; UMOA-Titres that can absorb a neighbour's panic for a while, or a CEMAC book whose bid lives in Yaoundé.

Guinea, Mauritania, Madagascar left the zone in their own decades. Mali left and returned. The AES three talk about leaving everything except, so far, the peg. History here is not a one-way road from king to data. It is a set of doors a state can walk out of and, sometimes, back into.

Three more sentences

On this coast, belief was first a colonial signature the independent state inherited.

Then it was an official-creditor conversation that could wipe a book and not build a market.

Then it was a Eurobond coupon that compressed in a world of free money and snapped back when the money stopped being free.

The European tour still matters. Consols and Waterloo and Moody's are why a screen in London has a place to put the African coupon. The African tour is why the coupon was ever there. A reader who only has the first tour will treat Accra and Yaoundé as late arrivals to someone else's plot. They are not late. They are working with a shorter machine and a longer memory of 1994.

Chapter 3 · The Anatomy of a Belief

The Anatomy of a Belief

Trust moves money through four pipes. Bond yields. The currency. Foreign direct investment. Capital flight, which is just the first three pipes running in reverse, plus the suitcase.

The pipes are not metaphors. They have desks, legal documents, and a close of business. This chapter walks them once, slowly, and then translates a spread into a hospital. After that, the leftover is harder to ignore.

The first pipe: the yield

A sovereign yield is the interest rate the market requires to hold a government's paper to some maturity. If the bond is in dollars, the starting point is usually a U.S. Treasury of similar tenor. Everything above that Treasury is a spread. The spread is the sentence. It says: this name is not the United States, and here is how much extra you will be paid to live with that fact.

Ghana's sentence in January 2022 was more than eleven percentage points. Distressed, in the jargon, begins at ten. The jargon is cold on purpose. It keeps a grown person from noticing that ten percentage points on a stock of thirteen billion dollars is the annual budget of a mid-sized ministry.

Yields move for reasons that have nothing to do with Accra. When the Federal Reserve raises rates, the Treasury yield rises, and every dollar bond on earth feels a tug. That tug is not a moral judgment. It is arithmetic. The part that is a judgment is the spread: the extra. In 2021 Ghana's extra was already wide by the standards of the cheap decade. In early 2022 it jumped because the people who had been willing to own the extra decided they were no longer willing at the old price. Some sold. Some marked the position down and waited. The price told everyone else what they had decided.

A government that still has market access can issue into that price. A government that does not must use other pipes, or stop.

The second pipe: the currency

The cedi lost something in the neighbourhood of thirty percent against the dollar in 2022, after a much quieter 2021. Official figures put the depreciation at 29.9 percent. Inflation, which had already escaped the Bank of Ghana's band, ran to levels last seen in the early 2000s and then beyond. In August the Bank delivered its largest hike on record at an emergency meeting, three hundred basis points, to twenty-two percent, and still had to keep

climbing. By year-end the policy rate was twenty-seven percent. Lending rates in the banking system went higher than that.

This is what a closed external market does to a domestic currency. Dollars become scarce because the usual inflow — the new Eurobond, the rollover — is not coming. Importers bid for what is left. Reserves fall or are defended at a cost that shows up later. Prices of bread and fuel, which are in part dollar prices wearing local clothes, jump. The central bank can raise rates, sell dollars, lecture the public, and change reserve requirements. It cannot print the missing Eurobond.

Currency is the pipe through which ordinary people meet sovereign trust. They do not need the EMBI. They need the price of a sack of rice.

The third pipe: the factory and the patient capital

Foreign direct investment is slower than a bond. A company that builds a plant or a mine is making a bet that lasts longer than a five-year note. It cares about courts, power, the right to take profits out, the chance that a successor government will call the contract colonial. When sovereign trust is rotting, FDI does not usually vanish on a Wednesday. It pauses. Boards delay. The next phase is “under review.” That pause does not show up in the daily spread. It shows up three years later as a missing factory.

Ghana in 2022 still had gold and oil and cocoa buyers. The real economy did not evaporate. The point is not collapse. The point is the projects that did not start, the expansions that waited, the regional headquarters that went to a city whose currency was boring.

The fourth pipe: flight

Capital flight is the domestic version of the same decision the London desk made. A company keeps dollars offshore. A household buys cement or dollars or a plot. A bank shortens the duration of what it will hold. Pension money, if the rules allow, looks for a door. None of this requires a conspiracy. It requires a forecast: that the local unit of account will be worth less, or that the government will need the pension fund as a captive buyer of paper that no outsider wants.

Ghana’s domestic debt exchange, announced as the external crisis matured, made that forecast explicit. Local bonds would be swapped for new ones with a holiday on interest and a longer life. The official purpose was survival. The effect on the balance sheets of banks and pension funds was a forced lesson in what sovereign paper is when the sovereign is the only buyer left.

Flight is the most expensive pipe because it is recursive. The more people leave the currency, the more the currency needs them to stay.

Two hundred to five hundred basis points, in rooms

The outline that preceded this book used a teaching range: two hundred to five hundred basis points as the ordinary extra that separates a believed name from a doubted one, before distress. The range is not a law. Japan can sit near zero with a debt ratio that would get a lecture. Turkey can sit in double digits for reasons that mix inflation, politics, and a central bank that has been asked to do things central banks are not built to do. Still, as a way to feel the invoice, the range works.

Two hundred basis points on a billion dollars is twenty million dollars a year.

Five hundred basis points on a billion is fifty million a year.

A teaching billion. Scale it. A country with ten billion in external commercial paper, paying an extra four hundred basis points it might have avoided with a different signature, is looking at four hundred million dollars a year. That is not a rounding error in any finance ministry this book is for.

What does four hundred million buy?

It buys a year's running costs for a cluster of district hospitals, or a road that actually gets finished, or the teachers who leave because the salary lost to inflation is a second job. It buys the difference between a power plant that is maintained and a power plant that is a speech. It buys, in a dry year, the grain.

The translation is crude. Budgets are political. Money saved on interest is not automatically spent on wards. Sometimes it is spent on a convoy. The crude translation is still the right one for a general reader, because the alternative is to leave the spread in the language of desks. Desks already know what a spread is. Citizens are the ones who pay it without being shown the bill.

Why the pipes open and close together

The four pipes are not independent. A widening spread is often the first public signal. The currency follows because the rollover is in doubt. FDI pauses because boards can read a headline. Flight accelerates because households can read a supermarket.

Sometimes the order flips. A political shock hits the currency first — a coup, a stolen election, a minister who fires the central-bank governor on television. The spread follows before the next London open. The sequence varies. The anatomy does not. Belief is one object. The pipes are how it becomes cash.

What Part I still owes you

You can now see that trust is not a sermon. It has a yield, a cross rate, a delayed factory, and a suitcase. What you cannot yet do is separate the leftover from the textbook. Ghana had real debt. It had real inflation. It faced a real Fed. Some of the invoice was arithmetic. Some of it was the market's judgment that the arithmetic would be resolved by breaking the paper.

Chapter 4 draws that line as cleanly as a napkin allows. The line will not satisfy a researcher who wants a published R-squared. It will satisfy a reader who needs to know why two countries with similar ratios can still face two prices.

The same four pipes on the Gulf of Guinea

Accra taught the pipes in a year the world already filed under "emerging-market stress." Douala, Lagos, and Libreville run the same pipes with different fittings.

The first pipe in CEMAC is often not a Eurobond. It is a BTA or an OTA on the BEAC book. The starting point is not a U.S. Treasury. It is the neighbour's last auction and the BEAC's policy rate. When subscription falls from eighty percent to forty-three, that is a spread by another name. The extra is paid in a higher stop-out, or in a failed auction that forces the treasury into a private placement at 8.875 percent, or into an external loan at 10.58. Ghana's eleven hundred basis points over Treasuries was a public sentence. Cameroon's tired regional book is a private sentence that still arrives in the budget.

The second pipe inside a peg is not supposed to exist. The CFA franc does not float against the euro. Ordinary people in Yaoundé do not watch a daily cross the way Lagos watches the naira. They watch the price of imported rice anyway, because the peg is a promise about the unit, not a promise that world prices will sit still. When the BEAC denies a devaluation, the second pipe is making a noise the first pipe can hear. Nigeria's second pipe is louder. A sixty-percent official-parallel gap is a currency sentence the street already translated into bags of rice. Unification moved the official number toward the street. Inflation was the bill for years of pretending the two numbers were one.

The third pipe — the factory — does not care whether the coupon is a Eurobond or an OTA. A mine in eastern Cameroon, a plant on the Lagos-Ibadan corridor, a port concession in Kribi: each is a bet that courts and power and the right to take profits out will still be there after a succession. When SONARA is a hole in the public perimeter, boards do not need a lecture on SOEs. They already know which invoice hides. When Nigeria's window was a privilege, boards already knew which cousin received the official dollars. FDI pauses without a press release.

The fourth pipe in a regional market is often not a suitcase at the airport. It is a bank in Douala that stops rolling Brazzaville, or a household in Lagos that buys cement and dollars in the same week. CEMAC flight can look like a failed auction. Nigerian flight can look like

a parallel-market print. Both are forecasts: the unit, or the neighbour's paper, will be worth less than the ministry says.

A fifth fitting: the captive buyer

Ghana's domestic debt exchange made the captive explicit. CEMAC and WAEMU make the captive ordinary.

When SVTs hold sixty percent of the regional stock, and Cameroonian institutions hold half of CEMAC's book, the fourth pipe is running inside the banking system. The pension fund and the primary dealer are the last buyers of paper a stranger will not take. That is not flight in the suitcase sense. It is flight from private credit. Every billion CFA francs a bank parks in an OTA because the private borrower looks worse is a factory that will not be built. Crowding-out is a pipe. The Fund's files keep naming it. Markets name it as a bid that is still there and a loan book that is not.

Nigeria's Ways and Means advances were the same fitting with a central-bank letterhead. A government that cannot sell the paper to a stranger sells it to itself at a window. Securitising those advances into a longer instrument is an attempt to make the captive honest. Honesty is not the same as cheap.

Two hundred basis points in CFA francs

The teaching range still works if you change the unit.

Two hundred basis points on a billion dollars is twenty million dollars a year — about 13 billion CFA francs at 655.957. Five hundred basis points is fifty million dollars, a little over 32 billion CFA francs. Cameroon's stock on the CEMAC book in July 2026 was about 2,061 billion CFA francs. An extra two hundred basis points on that stock alone is on the order of 4 billion CFA francs a year. An extra five hundred is on the order of 10 billion. Those are not Accra numbers. They are Yaoundé numbers. They still buy wards, or a road that actually gets finished, or the difference between maintaining a plant and delivering a speech about one.

Nigeria's Eurobond stock near $17 billion makes the same arithmetic brutal. Four hundred extra basis points on seventeen billion is about $680 million a year. That is the sort of figure a finance ministry already knows and a general reader is not shown. The pipes exist so the reader can see it without a terminal.

Why the peg does not cancel the anatomy

A common mistake, made in good faith by people who like the CFA, is to think the second pipe is closed and therefore the anatomy is simpler. The peg closes one kind of daily panic. It does not close the yield pipe. It does not close FDI. It does not close the captive-

buyer pipe. It can make flight look like a bank's refusal to roll a neighbour rather than a run on a kiosk. The anatomy is the same object. The fittings change.

A common mistake, made in good faith by people who hate the CFA, is to think the peg is the whole leftover. The leftover on Cameroonian paper in 2026 was not the euro cross. It was SONARA, a tired auction, and a political calendar. The leftover on Senegalese paper after the audit was not the euro cross. It was a printed number that was not the number. Furniture is not the invoice.

The pipes as a reading habit

When a name is in the news, ask four questions in order.

What is the extra over the relevant risk-free rate — Treasury, Bund, or the last clean regional auction?

What is the street paying for the unit of account, official and otherwise?

Which factory or concession just went "under review"?

Who is the captive buyer, and what happens to that buyer's other customers?

If you can answer those from public documents, you have the anatomy. If you cannot, you have a prospectus. Chapter 4 is the leftover after the textbook has been granted. This chapter is only the body the leftover moves through.

Chapter 4 · The Trust Residual

The Trust Residual

Take a dollar yield. Subtract the Treasury. What remains is a spread.

Now do one more subtraction, at least in your head. Subtract what the textbook would have predicted from debt, growth, reserves, and the usual macro furniture. What remains after that is the leftover this book is for.

Call it the Trust Residual.

It is not a published coefficient. It is a way of looking. The looking is the point. Once you have the habit, you stop treating a twelve percent yield as a single fact. You treat it as a stack.

The stack

A stylised emerging-market dollar yield of twelve percent might be imagined, for teaching, as three layers.

Three points: the core rate. In early 2022 the U.S. ten-year was still climbing out of the pandemic floor; by the end of the tightening it would live nearer four. Use whatever the Treasury is on the day you are looking.

Four points: the textbook premium. Debt is high. The tax base is thin. The export is a commodity. Reserves would cover a few months of imports if the commodity slumps. Inflation has a habit of waking up. A competent credit analyst can put numbers on all of this and arrive at a spread that is not zero.

Five points: the leftover. The part that is not the Treasury and not the obvious macro. The part that is a sentence about the future tense of the state. Will they loot. Can the machine work. Will they do it again after the cameras. Can I see any of this in time.

Those layers are a cartoon. Real desks use models with more moving parts: recovery values, collective-action clauses, the composition of the creditor committee, the IMF's political willingness, China's bilateral stock, the election calendar. The cartoon is still useful, because it forces a question the models sometimes bury. After you have been fair to the arithmetic, why is this name still expensive — or still cheap?

What the residual is not

It is not a moral score. A country can be unjust and cheap to fund if the injustice is orderly and the coupon gets paid. Apartheid South Africa borrowed. Plenty of extractive states have tight spreads until the extraction fights itself.

It is not a measure of poverty. Poor and believable exists. Rich and doubted exists. The residual is about the predictability of the state's hand, not the average income of its citizens.

It is not a rating. Ratings try, in their way, to swallow the residual and the arithmetic together and spit out a letter. They do it with a committee and a methodology deck. They are late more often than their brochures admit. The residual, as a looking-habit, is what you do with a screen and a newspaper before the letter arrives.

It is not precise. Anyone who sells you a precise residual for one hundred and eighty countries is selling a product. Products have uses. They also have an incentive to look more scientific than the underlying judgment.

How to use it in one sitting

Pick two names. Same currency of issuance if you can. Same rough maturity.

Write down the yields.

Write down three textbook facts for each: debt-to-GDP, last inflation print, reserve months.

Look at the gap in yields. Look at the gap in the three facts. If the yield gap is larger than the facts can comfortably carry, you are staring at a residual. If the yield gap is smaller than the facts suggest, you are staring at a residual with a different sign: a name the market is still willing to believe beyond the arithmetic.

Germany and Ghana in early 2022 are the easy pair because the residual is loud. Chile and Argentina, across many years, are a better teaching pair because the arithmetic has sometimes rhymed and the prices have not. Italy and Germany inside the euro are the pair that makes Europeans uncomfortable, because the residual there is a judgment about politics under a shared central bank.

You will be wrong sometimes. A residual that looks "too wide" can be a market that knows about a hole in the reserves that the last official print hid. A residual that looks "too tight" can be an index effect: the name is in a benchmark, the benchmark must be held, the holding compresses the extra until the day it does not. The looking-habit includes asking what you cannot see.

Ghana's leftover, without fake precision

By January 2022 Ghana's debt ratio had climbed into a range that credit people call elevated — the ministry's own figures put public debt near eighty percent of GDP by late 2021, up from about forty a decade earlier. Inflation was already above the Bank's band. The Fed was turning. Those facts justify a wider spread than Ghana enjoyed in 2017 or 2018. They do not, on their own, justify a jump through the distressed line in ten days, or the shutting of the issuance window while other African names could still talk to the market, or the later print in which interest was eating most of the revenue.

The extra extra — the part that turned a credit story into a closed door — was a judgment about whether the state would close the gap by taxing, cutting, and growing, or by capturing the domestic banks, burning the currency, and then calling the Fund from a weaker position. The market placed a large bet on the second path. The following twelve months did not embarrass the bet.

That is a residual you can see without a regression.

The chart that belongs on a napkin

Imagine a bar.

Left segment: the core rate.

Middle segment: the textbook premium.

Right segment: the leftover.

When politicians say "the market is being unfair," they are usually pointing at the right segment and calling it a conspiracy. Sometimes they are right about the unfairness — markets overshoot, indexes herd, a headline is wrong. Often they are pointing at the only segment they can still blame without admitting the arithmetic.

When politicians say "our fundamentals are sound," check which segment they have quietly omitted.

The napkin is not an accusation. It is a way to keep the speech and the screen in the same sentence.

What Part II must now do

A leftover without a cause is a mood. The cause, in this book, is a signature with four marks. Restraint, delivery, repetition, legibility. The next chapters take them one at a time, with countries that had to answer in public. The residual will sit on the desk while they answer. If a mark changes and the leftover does not, either the mark was theatre or the market has not looked yet. Both of those possibilities get their own chapter later.

For now, keep the habit. Yield minus Treasury minus the obvious. The remainder is what you are about to learn to read as handwriting.

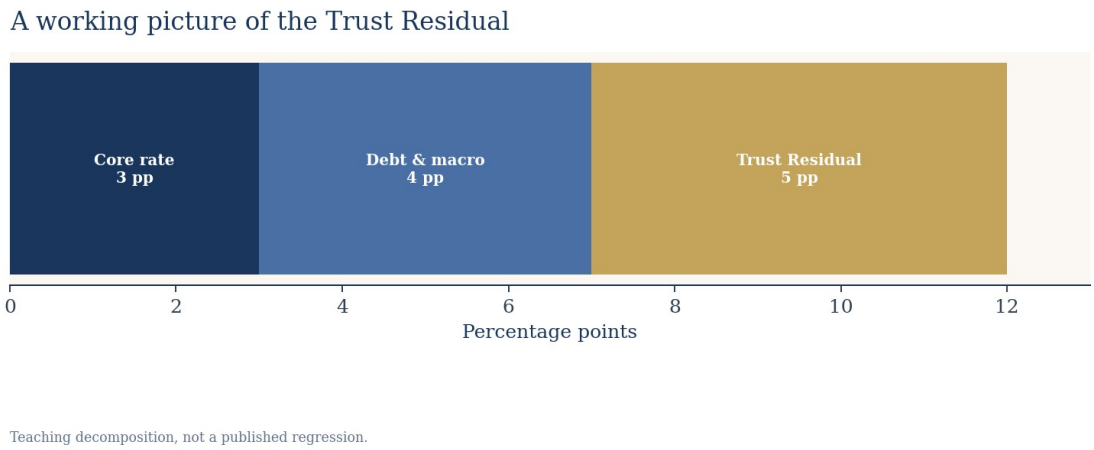


Figure 3. A working picture of the Trust Residual.

Two unions, one peg, two leftovers

The Trust Residual is easiest to see when the furniture is held constant.

WAEMU and CEMAC share a grandfather, a peg at 655.957 to the euro, and a French convertibility guarantee that has not been drawn since the early 1990s. They do not share a leftover.

On the short paper, the two rooms often look like cousins. In 2025 the BEAC's average BTA rate sat near 6.9 to 7.0 percent on the twelve-month windows the monetary-policy reports use — 6.92 percent at end-July 2025, 6.98 percent in the March-to-March cut that followed. UMOA-Titres, over 2025 as a whole, printed a weighted average bill rate of 7.06 percent, after 7.09 percent in 2024. A stranger looking only at thirteen-to-fifty-two-week paper could conclude the peg had done its job: two unions, one unit, similar cash prices.

Look one step longer.

CEMAC OTA averages were 9.06 percent in the year to July 2024 and 9.48 percent in the year to July 2025. The March 2025–March 2026 window put the OTA mean at 9.64 percent, against 4.18 percent in 2013. WAEMU bond yields, on the BCEAO's weighted average, sat at 7.30 percent in 2024 and 7.27 percent in 2025. Fourth-quarter 2025 was 7.39 percent. The gap on the longer regional pipe is on the order of two hundred basis points. Two hundred basis points, on a teaching billion, is twenty million dollars a year. On CEMAC's July 2026 book of 10,561 billion CFA francs, two hundred extra basis points is about 21 billion CFA francs a year — if the whole book paid the extra, which it does not, because bills are cheaper. The direction is the point. The west's longer paper is believed more than the centre's.

That gap is not the Treasury and not the euro. Both unions import the same core rate through the peg. It is not oil in any simple way. Gabon and Congo issue the bulk of the CEMAC book and pay. Côte d'Ivoire issues the bulk of the WAEMU book and pays less. It is not "Africa." It is two signatures living inside one currency.

The residual inside each union

Averages hide the second leftover.

The IMF's 2025 WAEMU file split the room. Benin, Côte d'Ivoire, and Togo could still print one-year paper near 7.1 percent. The rest of the union printed nearer 9.6. By early 2026 the dollar extra told the same story in a louder voice. Côte d'Ivoire's euro-denominated extra sat near 350 basis points, Benin's near 320. Senegal, after the court of accounts, printed a record 1,700 basis points in December 2025 and was still near 1,400 through February. Same peg. Same UMOA-Titres calendar. Three leftovers.

CEMAC's inside-union residual is a subscription rate as much as a coupon. Coverage of auctions slipped from 71.8 percent to 63.4 percent in the year to July 2025. The October 2024 snapshot the Fund used was worse: 43.5 percent against 80.4 a year earlier. Cameroon, once the cheap name on that book — bills under 3 percent in 2020 — was paying 6.33 percent on bills in 2024 and 6.95 percent in February 2025, briefly the highest BTA rate in the zone. The engine had become a price-taker. Gabon and Congo, carrying four-fifths of the stock between them on some later cuts, were the names whose failed auctions first taught the room its size.

World Bank compilations of early-2026 dollar primaries put the external extra in the same family. Benin and Côte d'Ivoire in a band near 260 to 300 basis points over Treasuries on some prints. Cameroon nearer 595. Congo nearer 745. The regional two-hundred-basis-point OTA gap and the dollar five-hundred-basis-point name gap are not the same number. They are the same species. After the peg and the textbook, a judgment remains.

How to subtract in this room

Pick a CEMAC OTA and a WAEMU OAT of similar tenor, same week if the calendars allow. Subtract the euro area's relevant rate, or simply subtract one from the other if you only want the cousin-spread. What remains is not "francophone risk." It is the Trust Residual between two institutions that were supposed to be twins.

Then split each union. Subtract Côte d'Ivoire from Senegal on the same UMOA-Titres tenor. Subtract Cameroon's BTA from the CEMAC average, or from its own 2020 print. The second subtraction is the residual inside the furniture.

If the cousin-spread is two hundred basis points on the bond and near zero on the bill, you have learned something the rating letter will say late. Short paper prices cash and the

peg. Longer paper prices whether the state will still be itself. CEMAC's leftover lives in the second sentence. WAEMU's leftover, after 2024, lives in the split between Abidjan and Dakar.

The cartoon, redrawn

Three points: the core. For these two unions the core arrives through the euro and the guarantee.

Two to four points: the textbook. Thin tax bases, oil, amortisations, bank sovereign exposure, a Fed that no longer pays you to look away.

Two to five points: the leftover. In 2025 that leftover was smaller on a WAEMU five-year than on a CEMAC five-year, larger on Senegal than on Benin, and larger on Congo's dollar print than on Côte d'Ivoire's.

The layers still will not satisfy a researcher who wants a published R-squared. They will stop a reader from treating "the CFA zone" as a yield.

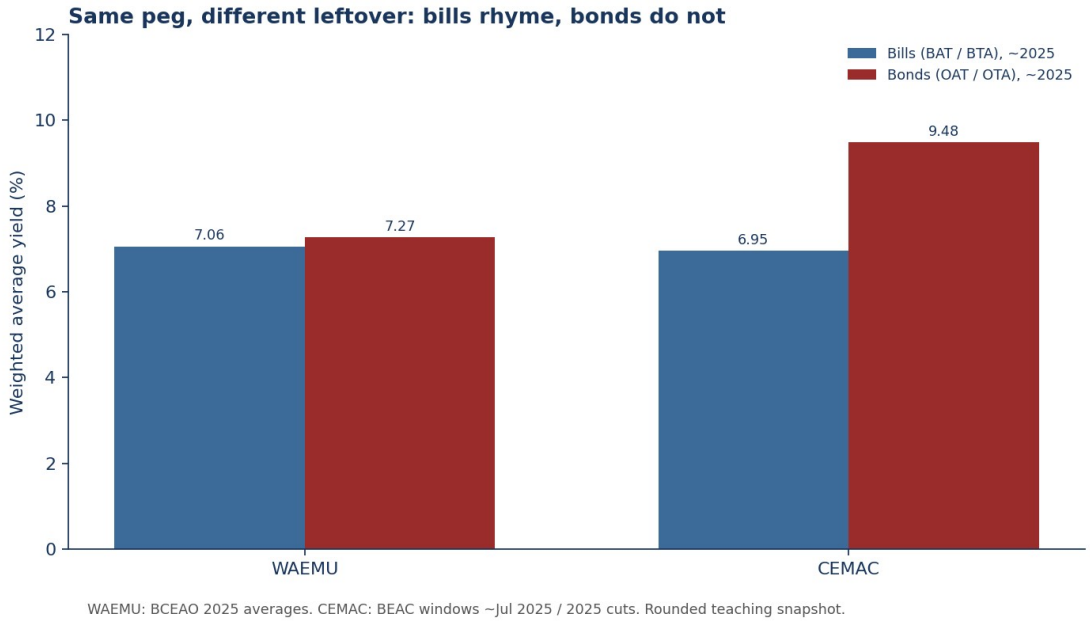


Figure 4. WAEMU vs CEMAC: bills rhyme, bonds do not.

Part II · The Sovereign Signature

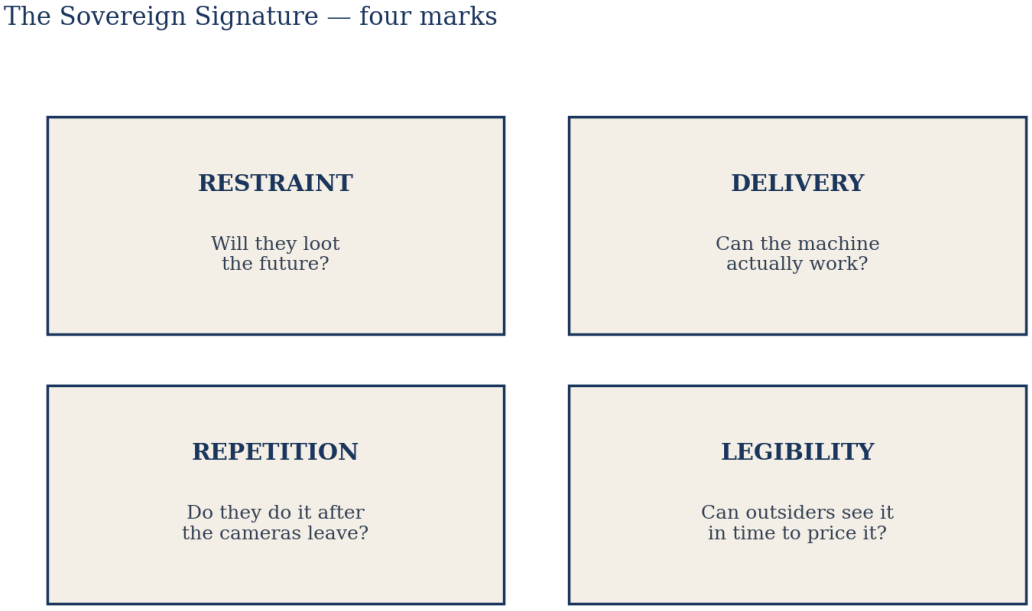


Figure 5. Four marks the market can read.

THE SOVEREIGN SIGNATURE

Markets do not score twenty cells before breakfast.

They recognise a pattern. The pattern has four marks. Each mark is a question. A country can pass one and fail another. The failures have different prices.

Chapter 5 · Restraint: Will They Loot the Future?

Restraint: Will They Loot the Future?

Restraint is what a state does with a windfall, a court, and a night when nobody is watching.

The source material behind this book filed the idea under Character: legitimacy, rule of law, judicial independence, the space in which a citizen can disagree and a contract can still bind. Character is a flattering word. Restraint is uglier and more accurate. The market's question is not whether the nation is good. The question is whether the people currently holding the keys will eat the seed corn.

Diamonds that did not eat the state

Botswana is the case everyone reaches for, which is a reason to handle it without perfume.

Since the mid-1970s the economy has leaned on diamonds for growth, exports, and the budget. In recent years the rock has still accounted for something on the order of three-quarters of export earnings, a third of output, and more than a third of government revenue. That mix has wrecked other treasuries. A boom arrives. The civil service expands. A capital city gets a skyline. The price slumps. The skyline still needs electricity. The government borrows to keep the lights on and calls the borrowing temporary.

Botswana built a different habit. In 1994 it adopted a Sustainable Budgeting Principle: mineral revenue, being the sale of a rock that will not grow back, should be invested in other assets — roads, water, skills, or financial savings — not spent as if it were a salary. A Sustainable Budget Index tried to keep non-essential current spending inside non-mining revenue. In 1994 the Pula Fund was established, later given a clearer legal home under the Bank of Botswana Act, to park reserves that the domestic economy could not absorb without wrecking the exchange rate. A debt ceiling later limited the stock. The design has gaps. Inflows and outflows have been more residual than a textbook sovereign-wealth rule. Public financial wealth has not only risen. The IMF has spent recent years telling Gaborone that the framework needs a harder statutory spine, and the government has begun to build a second vehicle beside the Pula Fund for a world in which the diamonds are less generous.

The point is not perfection. The point is a signature. For decades the market and the official lenders could read a pattern: this state treats a boom as a problem of saving, not as a personal entitlement. Resource peers that treated the boom as a salary have paid a different invoice. Some paid it in inflation. Some paid it in a single violent default. Some are still paying it in a spread that never quite comes in.

Restraint, here, was institutionalised greed-delay. That is the highest form of the mark.

Copper, and a committee that was allowed to say no

Chile's fiscal rule, launched as a political commitment around 2000–2001 under President Ricardo Lagos and the technicians around Nicolás Eyzaguirre and Mario Marcel, did something most commodity states only put in speeches. It told the government to spend as if copper and the business cycle were at trend, not as if this year's price were a personality trait. Two independent panels — one on potential output, one on the long-run copper price — supplied the trend. The government still chose the target. It did not get to choose, each spring, whether the copper spike was "permanent" because an election was coming.

Jeffrey Frankel and others have described why the panels matter more than the headline surplus number. Official forecasts, left inside the palace, embellish. A rule that depends on an embellished forecast is a costume. Chile's innovation was to take the two most tempting lies — we are richer than trend, the metal is expensive forever — and hand them to people who did not need the minister's next job.

The rule was not eternal law. Targets moved. After the global financial crisis and later slowdowns the structural balance slipped. S&P eventually cut the rating. Institutions age. The teaching moment remains the mid-2000s, when copper was a fountain and the panels still called most of the fountain temporary. The actual surplus went toward eight or nine percent of output. A different political machine would have spent it and called the spending inclusion.

Argentina, across the same Southern Cone and too many cycles to pretend this is a one-decade story, has repeatedly shown the opposite mark. Convertibility in the 1990s looked like restraint because the peso was nailed to the dollar. It was a peg, not a habit. When the arithmetic broke, the state did what a state without restraint does: it reached for the nearest stock of savings that could not run fast enough. Bank deposits. Pension funds. The legal peso value of a contract. The 2001 default and the long afterlife of holdouts and courtrooms in New York were not a natural disaster. They were a signature becoming public.

Two neighbours. Two ways of treating a boom and a bust. Two invoices that have not rhymed for long.

What restraint looks like when it fails in a rich country

The mark is not a developing-world virtue. In September 2022 the United Kingdom announced a package of unfunded tax cuts and energy support without the usual fiscal referee being allowed to score the play before the whistle. Gilt yields jumped. Sterling fell to depths that belong in a different century. Pension funds that had used liability-driven

investment strategies found that their collateral maths no longer worked at the new yields. The Bank of England bought bonds in size to stop a fire that had started in a fiscal speech.

Britain did not become Ghana in a week. It still had deep markets, a convertible currency, and institutions that could reverse the speech. It did demonstrate the question. Will they loot the future? Markets answered, for a few days, that they were no longer sure. The residual on gilts is usually a sliver. In those days it grew a visible body. Then politics supplied a U-turn, a new chancellor, and a return to the habit of pretending the Office for Budget Responsibility is allowed in the room.

Restraint, in a rich country, is often the boring permission granted to a referee. Remove the referee and the signature smudges.

The mark, stripped

Restraint is not austerity. A state can spend on schools and still be restrained if the spending is paid for in a way that does not steal from tomorrow’s coupon.

Restraint is not a constitution on a wall. Constitutions without courts are posters.

Restraint is the answer to a single operational question. When the easy money is on the table — a copper spike, a cheap Eurobond decade, a wartime subsidy — who is allowed to say no, and does saying no cost them their job?

If the answer is nobody, the residual will eventually find you. It may take a decade. The decade will feel like skill.

Who is allowed to say no on this coast

Botswana and Chile are the clean teaching cases. The Gulf of Guinea is where the operational question gets answered in the language this book’s reader actually speaks.

In Yaoundé the second signature is supposed to be the budget law, the CAA, the Fund programme, and a presidential circular that tells ministries to stop “direct interventions.” Fitch, in April 2026, still expected the interventions to continue. A circular that does not survive December is not restraint. It is a press release. SONARA’s perimeter is the same test in a plant. If the refinery can take a hole the ministry does not put on the first page, someone ate the seed corn and called it energy policy. A long presidency can look like restraint because the keys do not rotate. Rotation is not the only mark. A key that never rotates and still spends around the circular is a different failure: permanence without a no.

In Abuja the second signature was missing for years in two windows. An official dollar allocated by discretion is a windfall with a cousin’s name on it. Ways and Means advances at the central bank are a night when nobody is watching, institutionalised. June 2023 named both costumes. Naming is the beginning of restraint, not the proof. The proof is whether the

subsidy crawls back when the street is angry, and whether the central bank remains a bank. Securitising the advances into a longer instrument is a second-signature repair if the new paper cannot be printed again next year. If it can, the repair is a costume.

In Dakar the second signature was parliament. The Court of Auditors found loans that parliament had not authorised. That is restraint failure with a yield. A second term that wants more time is the oldest temptation in this chapter. Copper spikes and cheap Eurobond decades are the other two. Senegal used the third. The residual priced it when the court spoke, not when the roadshow smiled.

In the Sahel the second signature became a junta communiqué and then a closed regional auction. That is restraint as rupture. The market's question — will they loot the future? — is the wrong question on the morning after a coup. The question becomes: is there still a future tense the market can serve papers on? WAEMU answered by taking the ball home.

The CFA is not restraint

A peg can look like Chile's copper panel: a rule that stops this year's temptation. It is not the same object. Chile's panels were domestic referees saying no to a fountain. The CFA peg is imported furniture. It stops one kind of looting — printing the currency against the euro — and leaves every other kind intact. Hidden CFA loans, dual windows next door in naira, circular interventions, a refinery's off-book hole: all of them lived inside the peg. 1994 proved the furniture can move. 2024–25 in Dakar proved the furniture cannot see a cupboard.

WAEMU's killing of BCEAO advances by 2010 was closer to restraint than the peg itself. It took away a night-when-nobody-is-watching pipe. CEMAC moved later. A union that still leans on short bills for cash, as Cameroon did when more than sixty percent of its BEAC issuance in one twelve-month window was BTA, has not finished the Botswana job. It has built a calendar. Calendars are not no.

Windfalls, African edition

Oil in Nigeria and Gabon and Congo. Cocoa in Côte d'Ivoire. Gold in Ghana and the Sahel. A cheap-dollar decade for anyone who could print a prospectus. Each windfall had a no that was available and often unused.

Nigeria treated oil as a salary and the official window as a dividend. The 2023 naming tried to stop both. Côte d'Ivoire treated cocoa and a post-war recovery as a reason to stay frequent on the calendar — closer to repetition than to looting, which is why Abidjan's leftover is not Dakar's. Gabon treated oil plus a family as furniture until 2023 proved the family was the furniture. Congo treated oil as a reason the regional book would always clear. Failed auctions said otherwise.

Ghana treated the cheap Eurobond decade as a salary. That is the windfall this book opened with. Restraint failed in the specific sense that nobody with a job to lose was allowed to say: this coupon is not a personality trait.

The mark, applied

When the easy money is on the table, who says no?

Botswana: a rule about rocks that will not grow back, leaking, still a rule.

Chile: two panels.

Britain, September 2022: the OBR was locked out, then let back in after the gilt had spoken.

Cameroon: a circular that Fitch did not believe.

Nigeria: a president who named the window; a street that will test whether the naming holds.

Senegal: a parliament that was not asked.

CEMAC as a market: a bid that said no when the stock had quintupled.

If the answer is nobody, the residual will find you. On this coast it has been finding people in CFA francs as well as in dollars. The invoice does not require a floating currency. It requires a future that got eaten.

Chapter 6 · Delivery: Can the Machine Work?

Delivery: Can the Machine Work?

Delivery is competence with dirt on it. Inflation that actually falls. A budget that actually closes. An export that still exists when the boom ends. A power utility that produces power.

The market does not grade speeches. It grades whether the treasury can find the money on a Thursday.

The night the numbers left the speech

Every finance ministry has a version of the night. The presentation says the deficit will be X. The cash accounts say the deficit is heading for something that is not X. The difference can be hidden for a season with arrears, with a state bank, with a definition of "below the line" that would fail an undergraduate. It cannot be hidden from a spread forever.

Ghana's 2022 was such a night stretched across months. Interest had become the largest single budget item, overtaking compensation. Combined, interest and wages were eating almost all the revenue, which is another way of saying the state was borrowing to be itself. A Eurobond window that had been treated as part of the furniture was tested in January and found to be a wall. Once the wall was up, the domestic machine had to carry a load it was not built for. The Bank of Ghana was pulled into financing. The currency took the pressure. Inflation did what inflation does when the machine is using the printing press as a spare fiscal ministry.

None of this requires a cartoon of incompetence. Officials worked. Numbers were published. Programmes were designed. Delivery failed in the specific sense that matters to a desk: the state could not close its accounts without either a default or a domestic capture that smelled like one.

Korea, when the machine was rebuilt in public

South Korea in December 1997 is the opposite night, remembered because it was worse and then better.

Chaebol bankruptcies had already poisoned the banks. Foreign creditors had begun to run. Reserves were not what the speeches had implied. On 3 December the IMF Board approved a twenty-one billion dollar stand-by. The first weeks were ugly. The won went toward two thousand to the dollar. Overnight rates were pushed into the thirties. The country took a recession that cut output by something close to six percent in 1998 and sent unemployment toward nine.

Then the machine did something markets can price. It recognised the external debts of the financial system in a way creditors could read. It closed or merged the worst banks rather than pretending they were fine. It let foreign capital into places that had been national pride. In April 1998 Seoul issued four billion dollars of global bonds — a billion five-year, three billion ten-year — against twelve billion of orders. The spreads over Treasuries were 345 and 355 basis points. That is not cheap money. It is open money, four months after a crisis that had looked existential. Mexico, after 1994, had needed more than a year to get back to a window like that.

Delivery, here, was not a growth forecast. It was a sequence of reversible-looking promises that turned out not to be reversed. The residual compressed because the machine worked while it hurt.

The competent extractor

There is a trap in this mark. A state can be good at delivery and bad at restraint. It collects taxes. It builds the pipeline. It keeps inflation inside a band. It also treats the country as a concession. Markets will fund that combination, sometimes for a long time, especially if the export is a metal the world needs. They will not fund it as if it were Chile. The leftover stays fat because the future tense is still a threat: the competent hand that built the pipeline can turn the tap.

Investors who confuse delivery with virtue pay for the confusion later. The signature has four marks. One A and three blanks is not an A.

The mark, stripped

Delivery is demonstrated. The demonstration is cash: the coupon paid from revenue rather than from a new issue that assumes a friendlier year. Everything else is atmosphere.

How the peg actually works

Delivery on this coast includes a machine that is not a finance ministry.

There are two CFA francs, not one. The West African franc (XOF) is issued by the BCEAO in Dakar for eight WAEMU states. The Central African franc (XAF) is issued by the BEAC in Yaoundé for six CEMAC states. They share a number — 655.957 to the euro since 1999 — and they are not interchangeable in a wallet. A note from Dakar is not legal tender in Douala. Treat “the CFA” as one cash as a tourist. Treat it as one market as a mistake.

The peg is a fixed rate. Changing it takes unanimity of the heads of state in the relevant union. That is why 1994 is still a memory and why a BEAC denial in January 2026 is a political sentence as well as a monetary one. The rate was 50 CFA to the French franc

before January 1994, 100 after, and 655.957 to the euro when the franc retired. The number has not moved in a generation. The residual still prices the possibility that it might.

Convertibility is the second pillar. France promises, in principle without a cap, to supply euros if the union cannot meet external payments at the peg. The guarantee has not been drawn since the early 1990s. An unused put is still a put. Desks remember it even when they argue about sovereignty.

The old third pillar was the operations account at the French Treasury. Each issuing bank had to lodge a share of foreign reserves there — once all of them, then 65 percent, then 50 percent for the BCEAO after 2005. The account was how the guarantee could actually fire: when the account went into debit, Paris was on the hook. Reserves in the account were remunerated and carried an exchange guarantee against a weaker euro.

WAEMU broke that pillar on purpose. The 21 December 2019 accord, signed in Abidjan, kept the peg and the guarantee and removed three colonial-looking fittings: the obligation to centralise 50 percent of reserves in Paris; French seats on BCEAO governing bodies; and, as a political sentence, the name itself, which the union said it wanted to change to eco. The BCEAO's operations account was closed; French official language puts the closure in January 2020, with assets moved off the Treasury's books in the period that followed, April 2021 in some reconstructions. A separate guarantee convention, signed in December 2020, replaced the account as the legal hook for the unused put. France now receives reporting so it can watch the risk it still covers. CEMAC did not take the same walk. The BEAC still lodges reserves on an operations account. That divergence is furniture, and it is also a delivery story: one central bank now manages its own pile; the other still shares a cupboard with Paris.

Freedom of transfer inside the zone is the fourth classic principle. Banks can move CFA to euros at the peg, subject to the central bank's rules and to whatever scarcity the residual has already priced. A peg with a queue is a peg that has become a window. Nigeria taught the region what a window looks like. The CFA is not supposed to be one. When importers complain about delays, the machine is sweating.

What the BCEAO actually does

The Banque Centrale des États de l'Afrique de l'Ouest is the monetary sovereign of eight states. It issues the notes. It sets the main refinancing rate — 3.00 percent in September 2026, with the marginal lending facility at 5.00 percent — and a single reserve-requirement ratio of 3.00 percent that has sat there since 2017. It runs weekly liquidity operations. It publishes a monetary-policy report that a stranger can read. Jean-Claude Kassi Brou chairs the committee in Dakar.

It is also a market-builder. After 1998 the union pledged to replace central-bank lending to treasuries with a securities market. By 2010 advances were gone. UMOA-Titres is the child of that decision. The BCEAO does not set Senegal's coupon. It sets the water the coupon swims in. When it eases, bill rates can fall — the weighted BAT average dropped to 5.88 percent in the fourth quarter of 2025. When banks prefer sovereign paper to private loans, as they did in 2025 when the government yield sat above the lending rate, the BCEAO is watching a delivery failure it cannot fix with a rate: crowding-out.

Reserve management is now the BCEAO's own job. End-2025 assets under management were reported near 40,595 billion CFA francs, about $67 billion, with foreign-exchange reserves up sharply on gold, cocoa, cotton, and oil receipts. The statutory hierarchy is security, then liquidity, then return. The portfolio still leans on euro-area sovereigns. Ending the operations account did not make the desk buy Accra. It made the desk buy Berlin and its cousins. That is delivery as conservatism. It is also why critics who expected the 2019 reform to "bring the money home" are still waiting. Autonomy over a pile is not the same as a different pile.

The BCEAO is not a fiscal referee. It cannot stop a presidency from signing loans parliament has not seen. It cannot make an auction in Niamey open after a communiqué closed it. It can refuse to be the night-when-nobody-is-watching pipe that Ways and Means became in Abuja. That refusal, dated 2010, is the most important delivery sentence in the union's monetary history after the peg itself.

Compared with the BEAC, the BCEAO is the thicker institution. It started the securities market earlier. It left the operations account. It sits on a larger book. It still cannot turn an OAT into a Bund. Chapter 4's two hundred basis points between WAEMU bonds and CEMAC bonds are, in part, a verdict on two central banks as delivery machines. Not the whole verdict. SONARA and a court of accounts still sit outside Dakar's building.

Delivery as a plant, a window, a payroll

The mark on this coast is dirtier than a policy rate.

SONARA is delivery in Yaoundé. A refinery that does not close is a machine that does not work. The Fund keeps it in the public perimeter because a hole there is a hole in Thursday's cash. CAMTEL, CAMWATER, SONATREL, the Douala port: five firms, two-thirds of SOE liabilities. A state that publishes a CAA bulletin and cannot keep the lights and the fuel chain honest has delivered a prospectus, not a plant.

NNPC and the pump are delivery in Abuja. Unifying the window was monetary honesty. Letting the pump lag the import bill again is the machine slipping. Revenue that jumps in naira because the rate moved is not the same as a tax system that works. Both can photograph as delivery. Only one survives a second year of oil at an inconvenient price.

Payroll and arrears are delivery everywhere. Cameroon's DSA still carries arrears of more than three months. A state that pays the Eurobond and not the supplier has chosen which machine to keep alive. Markets notice the Eurobond first. Firms notice the supplier. The residual eventually notices both.

Côte d'Ivoire's claim on this mark is the boring one: the treasury finds the money on a Thursday often enough that frequency became a habit. That is not virtue. It is competence with dirt on it. Senegal's claim broke when the Thursday money included loans the Thursday parliament had not seen. The machine worked as a borrower. It failed as a state.

Korea's lesson, translated

Seoul in April 1998 did not become believable because inflation was pretty. It became believable because the sequence was readable while it hurt: recognise the debts, close the worst banks, issue into a spread that was still ugly, do not reverse the ugly parts after the cameras left.

A francophone translation is not a $4 billion global bond four months later. It is a refinery perimeter that stops moving, a window that stays unified, an auction that clears because the stock stopped quintupling, a court of accounts that remains a court after the presidency changes. Delivery is demonstrated. The demonstration is cash from revenue, not from a neighbour's bank that already owns last year's bill.

WAEMU's convergence criteria: a delivery rule that was paused

The union wrote itself a fiscal machine in 2015 and then, in April 2020, switched it off.

The first-order ceilings that still sit in every surveillance table are simple on purpose. The overall deficit, grants included, should not exceed 3 percent of output. Public debt should not exceed 70 percent. Inflation should stay inside the community's comfort — the BCEAO's working band is 1 to 3 percent, and the older pact language treated 3 percent as the ceiling that mattered. A wage-bill rule, 35 percent of tax revenue, travels with the pack. A tax-take ambition near 20 percent of output is the sentence ministries put on slides and miss.

Those numbers are delivery, written as law. A state that keeps them is telling a stranger that Thursday's cash is not an accident. A state that misses them is telling the stranger to look at the leftover.

Covid suspended the pact. The suspension expired. As of the Fund's 2026 common-policy discussion the replacement had still not been adopted. The Commission's draft keeps the 3 and the 70, adds an escape hatch if output falls at least 4 points below the previous three-year average, and talks about a macroeconomic stabilisation fund. Ministers sent it upstairs. Heads of state had not, by that writing, made it furniture again. Until they do, the 3

percent is a habit some names keep under IMF programmes and others treat as a weather forecast.

Compliance is a split signature, which is the point of this book. Mali printed the 3 percent in 2023. Benin and Côte d'Ivoire were estimated to have printed it in 2025. Niger and Togo were aimed at 2027, Burkina Faso and Guinea-Bissau at 2028, Senegal — after the court of accounts — at 2029. Union-wide debt sat near 63 percent of output in 2025 on the BCEAO's telling, 62.4 projected for 2026, 59.3 at end-March 2026 on another cut. Below the 70. Above the comfort of 2019. Inflation did the opposite of the cheap-decade fear: 3.5 percent in 2024, something close to zero in 2025, a projected return toward 1.6 in 2026, inside the band. The peg delivered the inflation half. The fiscal half is still a name-by-name leftover.

Stock-flow adjustments — debt that appears without a matching deficit on the old page — are the delivery leak the Fund keeps naming. Senegal made the leak famous. A criterion that only watches the deficit will miss the cupboard. That is why a new pact without a perimeter rule is still a costume.

How the BEAC actually holds the pile

The BEAC never took WAEMU's 2019 walk. Its reserves still have a Paris address.

At end-2024 the bank put foreign-exchange reserves at 7,329 billion CFA francs, about 11.17 billion euros, up from 6,836 billion a year earlier. Sight external assets — the operations account, foreign notes, correspondents outside the zone — were 4,962 billion. The operations account itself, interests included, stood at 4,807 billion at end-2024 and 3,669 billion at end-2025. Centralisation onto that account printed 71.7 percent in the last ten days of 2024, above the conventional 50 percent floor, and 63.5 percent at end-2025, against 92 percent at the start of 2024. The floor was respected. The direction was down.

The split by member is the political map of the pile. At end-2025 Cameroon still carried the largest operations-account line, about 1,817 billion, down from 2,164. Chad 509. Congo 288. Central African Republic 169. Equatorial Guinea 131. Gabon printed **minus** 166 billion. A negative line on the operations account is not a tourist fact. It is a state whose external contribution to the common pot is a hole. Off-account convertible assets were another 1,955 billion at end-2025, Cameroon again the largest at 1,275.

The trading room does the rest. Bond portfolios held to collect and held to collect-and-sell. A World Bank RAMP sleeve that shrank with the dollar. Gold: 201,903 ounces that did not move in volume between end-2024 and end-2025, and a value that did — from about 334 billion CFA francs to 493 billion — because the ounce moved from 2,521 euros to 3,722. The 2024 trading-room result on reserve management was 285 billion CFA francs.

Security, liquidity, a little return. Same hierarchy the BCEAO writes down. Different cupboard.

France still sits as one administrator in seven on the BEAC board and on the monetary-policy committee. The exchange guarantee on the centralised slice is live in a way it is no longer live for Dakar. In the 2024/25 guarantee year the French Cour des comptes recorded no call for the BEAC; the Comorian account did call. Unused is not absent.

What this means for delivery is narrow and sharp. The BEAC can hold a pile, earn on it, and deny a devaluation. It cannot make Gabon’s operations-account line positive. It cannot thicken a bid that has gone to 43 percent subscription. Reserve management is competence with a correspondent bank. The leftover on Cameroonian and Congolese paper is still a plant, an auction, and a political calendar. Do not confuse a well-run salle des marchés with a signature.

Chapter 7 · Repetition: After the Cameras Leave

Repetition: After the Cameras Leave

One credible decade is worth more than ten credible days.

Repetition is the compound interest of the other marks. A transparency shock is a day. A statistics office that is still independent after three governments is a decade. Markets pay for the decade and rent the day.

Two neighbours, one river of panic

Argentina defaulted in late 2001 after a long defence of a currency board that had become a trap. The political wreckage was public. Presidents lasted weeks. The savings of ordinary people were trapped and then redenominated. The later 2005 exchange was large, hard, and incomplete. Holdouts spent a decade in American courts. The residual on Argentine paper became a personality.

Uruguay, next door, caught the blast. Argentine depositors pulled money from the Uruguayan banks that had been a regional safe. Debt-to-GDP doubled toward a hundred percent. Spreads blew out. The rating left investment grade. In the summer of 2002 Montevideo faced a banking run and a sovereign that looked, on a spreadsheet, like a candidate for the same fire.

What happened next is why this chapter exists. Uruguay, with help that included an unusual use of the U.S. Exchange Stabilization Fund and a very large IMF package, kept the banking system from becoming a confiscation story. In 2003 it asked bondholders for time rather than for a lecture about haircuts. Maturities went out about five years. The net-present-value cut was modest — later IMF write-ups put it in a ten-to-twenty percent range, and some interlocutors still describe the deal as stretching payments without a deep principal insult. Participation came in near ninety-three percent. Collective-action mechanics on the Japanese piece helped. The residual, once the banking system stopped dying, began to die down.

Two countries. One regional shock. Two ways of repeating, or failing to repeat, a habit of treating creditors and depositors as parties who will be needed again.

The lesson is not that haircuts are immoral. Sometimes the arithmetic requires one. The lesson is that the manner of the crisis is itself a mark. Uruguay’s manner said: we are still the kind of state that prefers a negotiation you can survive to a victory you cannot issue after. Argentina’s manner, in that cycle, said something else. The invoices diverged for years.

The cameras love a reformer

A new minister announces a rule. The Fund applauds. The currency steadies. Six months later the rule has an exception for fuel, an exception for wages, an exception for the region that votes. The cameras have gone to the next country. The desk has not forgotten the exceptions. That forgetting-failure is repetition.

Ghana's pre-2022 story had stretches of good prints and stretches of election-year physics. The market financed both until the cheap-money decade ended. Then it priced the pattern rather than the last speech. Patterns are repetition. They are also, when they are bad, a trap the cameras cannot talk you out of.

Rich countries repeat too

The UK mini-budget was a failure of restraint. It was also a test of repetition. Did Britain remain a place where a fiscal surprise of that size gets walked back before the pension system melts? It did, in the event. The walking-back was ugly and fast. The mark, barely, held. A country that could not produce a Hunt after a Kwarteng would have taught a different lesson about its furniture.

Repetition is the answer to a cruel question. If I close this terminal and open it in five years, will I recognise the state?

Repeating a criterion, repeating a circular

WAEMU's 3 percent and 70 percent are repetition tests dressed as law.

A name that meets the deficit ceiling in 2025 because an IMF programme is watching, and misses it the year the programme thins, has rented the day. Benin and Côte d'Ivoire printing the 3 percent in 2025 is a mark only if 2028 still recognises the print. Senegal's projected 2029 return is a calendar, not a habit. The pact that was suspended in 2020 and not yet replaced in 2026 is the union repeating a sentence it has not been willing to nail back to the wall. Markets notice the nail.

The wage-bill rule — 35 percent of tax revenue — is the criterion ministries hide behind payroll. A state that keeps the 3 percent by delaying salaries has not repeated delivery. It has moved the leak. Stock-flow adjustments are the same trick at the debt line. The Fund's surveillance keeps finding debt that the deficit did not confess. A criterion that cannot see the cupboard will be repeated as theatre.

Cameroon's circular against direct interventions is the CEMAC version of the same test. One circular is a camera moment. Twelve months of interventions after the circular is the pattern. Fitch wrote the pattern down. The residual does not need Fitch.

The CAA bulletin is the better repetition: a quarterly amortisation page that a specialist can use after three ministers. Nigeria's DMO tables are the same object in Abuja. A window

unified in June 2023 is a day. A window still unified after the next election is a decade. The cameras will not be there for the decade. The desk will.

Repeating the peg, repeating the cupboard

The peg itself is repetition at the unit. 655.957 since 1999. That is why the BEAC denies a rumour rather than holding a seminar. Repetition of the number is not repetition of the leftover. The BCEAO repeating the 2010 refusal to advance treasuries is the monetary habit that matters. The BEAC repeating an operations account in Paris is a different habit: the cupboard is still shared, the pile is still managed, Gabon's line can still go negative.

UMOA-Titres repeating a calendar after Dakar's audit is the regional habit under stress. If Abidjan's banks keep taking the paper in 2027 on the same terms as 2025, the union has repeated a captive. If they do not, the union has repeated a market. Both are repetition. Only one is the mark this chapter is for.

The cruel question, asked here

If I close this terminal and open it in five years, will I recognise the state?

Côte d'Ivoire: probably the calendar, the hedge, the 3 percent or a neighbour of it.

Benin: probably the small tap that still clears.

Senegal: only if the court's page is still the page.

Nigeria: only if there is still one official dollar.

Cameroon: only if SONARA is a sentence a stranger can finish.

Gabon: only if the operations-account line is not a hole and the family is not the furniture.

The AES three: only if someone is still bidding, in a unit that still exists.

Repetition is the compound interest of the other three marks. Without it, Chile's panels are a season and Botswana's Pula Fund is a brochure.

Chapter 8 · Legibility: Unseen Competence Is Unpriced

Legibility: Unseen Competence Is Unpriced

A quiet competent state that cannot be inspected pays as if it were noisy and weak.

Legibility is the mark leadership books do not have, because leadership books are about people in a room who already know each other. Sovereign trust is about strangers. Strangers need a window.

What a window is

A debt-management office that publishes the calendar and then keeps it.

A statistics office that does not lose its commissioner after an inconvenient inflation print.

An Article IV that is allowed to appear, and a government that argues with it in public rather than burying it.

A prospectus that matches the cash accounts.

A rating review in which the answers are boring.

A roadshow at which the minister can be asked about arrears without the connection dying.

None of these are virtue. They are inspection ports. Markets will overpay for a port. They will underpay a masterpiece they cannot see.

Korea's April 1998 roadshow

Fourteen cities. Seven countries. A registration with the U.S. Securities and Exchange Commission. A price that came tighter than the whisper because the book was three times the original thought. That sequence was not only delivery. It was a decision to become readable in the jurisdictions where the money sat. The won had already begun to crawl back from the abyss. The readable part was the willingness to stand in New York and London and take the questions while the recession was still landing.

Contrast a government that treats every data request as an insult to sovereignty. Sovereignty is a real value. It does not pay the coupon. The coupon is paid by someone who has to explain the position to a credit committee that will ask, in a dull voice, where the number came from.

Greeniums and other windows

In the last decade a new window opened: the labelled bond. Green, social, sustainable, sustainability-linked. Sometimes the label saved a few basis points. Sometimes it saved none. The market learned, clumsily, to ask whether the window showed a plant or a poster. Chapter 9 and Chapter 15 pick this up. The only point here is the principle. A label is legibility if the proceeds can be followed. A label is noise if they cannot.

The mark, stripped

Competence unseen is competence unpriced. If you want the residual to shrink, you have to let strangers see the machine while it is running, including on the days it knocks.

The escape hatch as a window — or a costume

WAEMU's next Convergence Pact, still waiting for heads of state as of the Fund's 2026 file, proposes an **exogenous escape clause**: the 3 percent deficit ceiling may be set aside if output falls at least **4 percentage points** relative to the average of the previous three years. The same draft talks about a **debt-correction mechanism** once a member crosses 70 percent of output, and a **macroeconomic stabilisation fund** that the Commission has studied, including a VAT-based funding option. The Fund's advice on that fund is blunt: member-financed, no leverage, no new contingent liability that crowds the regional book.

An escape clause is legibility if a stranger can see the trigger, the duration, and the path back. It is a costume if "exogenous" becomes whatever the presidency needs that year. Covid was a real hatch: the 2015 pact was suspended in April 2020 and then expired. The suspension was public. The return has not been. A hatch that stays open after the shock has left is not flexibility. It is the 3 percent dying by delay.

Stock-flow adjustments are the hatch nobody wrote down. Debt appears without a matching deficit on the old page. Senegal made the leak famous. A pact that adds an escape clause and does not nail the perimeter — whole public sector, contingent liabilities, a TOFE that matches the court of accounts — has built a window that still faces the wrong cupboard. The Commission says it is working on common definitions. Working on is not a window. Published and kept is a window.

UMOA-Titres as the regional inspection port

The West African government-securities market is the most complete legibility machine this book has on the coast. It is also a pipe that can hide a name in a neighbour's book.

The furniture is public. UMOA-Titres runs the auctions. The AMF-UMOA regulates the listed slice. Spécialistes en Valeurs du Trésor — banks and investment firms — are supposed to bid and then make a secondary. Calendars go out. Stop-outs come back. Coverage ratios print. A stranger in Lomé can see what a stranger in Abidjan paid.

The stock at end-July 2026 was **24,074 billion CFA francs**. Côte d’Ivoire 7,815. Senegal 5,132. Burkina 2,990. Mali 2,607. Niger 2,130. Togo 1,691. Benin 1,142. Guinea-Bissau 566. In 2025 the primary raised **11,859 billion**, more than double the 2022 print, with Côte d’Ivoire about 43 percent of the year’s volume and Côte d’Ivoire plus Senegal about 62 percent of issuance intentions. Through July 2026 the year had already mobilised 8,610 billion, with OATs up and BATs down — the union stretching duration because the short pipe had done enough work.

Coverage on a good month still looks like a market. July 2026 averaged **206 percent**. That is not CEMAC’s 43 percent. Secondary DVP volumes came back: more than 5,400 billion exchanged in 2025 on one reconstruction, after a dead 2023. A quotation platform launched in January 2026. Client accounts (pensions, insurers, corporates) grew faster than banks’ own books. That is a holder-base sentence. It is also a household-savings sentence. The inspection port now looks into the pension fund.

Home bias still sits under the port. Investors in most member states prefer their own sovereign. A name with a thin banking system therefore does not get the union’s average bid. The Fund has been writing that fragmentation down. Legibility of the average is not legibility of Niamey.

The market can also become a cupboard. Senegal’s 2025 recourse — on the order of 2,224 billion, up 123 percent — was the regional book doing the work official money and the Eurobond window would not. Total-return swaps appeared in the Fund’s telling of some of those purchases. A window that shows the stop-out but not the swap is a half-window. Côte d’Ivoire remaining the locomotive is depth. Côte d’Ivoire remaining the shock absorber for a neighbour’s hidden stock is a position the residual will eventually price in Abidjan.

Compared with CEMAC, this is still a thicker port: more stock, more secondary, published coverage that often clears above 100 percent, a duration that can move into OATs when the union chooses. Thickness is not virtue. It is inspectability. A stranger can do the Chapter 4 subtraction on an OAT versus an OTA because both calendars exist. That subtraction is why this chapter belongs after the two-hundred-basis-point gap.

Windows on this coast

The CAA bulletin in Yaoundé. The DMO tables in Abuja. The Court of Auditors in Dakar, once it spoke. The BEAC’s special report on the operations account, which is how a reader learns Gabon printed a negative line. UMOA-Titres’ monthly situation. The BCEAO’s monetary-policy report. An Article IV that is allowed to appear.

Each of these is an inspection port. Each can be a costume the year the commissioner is moved, the bulletin skips a quarter, or the TOFE and the court disagree by twenty points of output.

Korea’s April 1998 roadshow — fourteen cities, an SEC registration, a book three times the whisper — was a decision to be readable in the rooms where the money sat. The francophone equivalent is not a fourteen-city tour. It is a calendar kept, a court that remains a court, a coverage ratio that is published when it is 43 percent as well as when it is 206, and an escape clause whose trigger a stranger can score without calling the ministry.

Competence unseen is competence unpriced. If you want the residual to shrink, you have to let strangers see the machine while it is running, including on the days it knocks, including on the day the hatch opens.

Interlude · The CFA, Cameroon, Nigeria, Senegal

The CFA franc as furniture

The West African CFA franc and the Central African CFA franc are a shared unit of account, pegged to the euro at 655.957 since 1999. France's convertibility guarantee has not been drawn since the early 1990s. Eight WAEMU states share the BCEAO in Dakar. Six CEMAC states share the BEAC in Yaoundé. The peg imports an inflation reflex. It also imports a question about whose signature the currency carries.

WAEMU built a regional government-securities market after 1998 and ended BCEAO advances by 2010. CEMAC moved later and thinner. From 2010 to 2024 WAEMU securities stock grew about twenty percent a year. That market is a trust machine among neighbours. It is also a contagion pipe.

Cameroon, Nigeria, Senegal

Cameroon issues, pays, and parks part of the invoice in SONARA. The Caisse Autonome d'Amortissement publishes. The 2015 Eurobond amortises. A July 2024 private placement of about 550 million dollars at 9.5 percent due 2031, and a January 2026 placement of 750 million dollars at 8.875 percent due 2033, showed that a B name with a negative outlook can still print when the book is private and the coupon is honest about the leftover. Fitch in April 2026 kept B with a negative outlook and treated a new IMF programme as part of the financing plan. Debt, on that telling, was heading toward the low forties as a share of output after including arrears and the refinery.

SONARA carries the bulk of listed SOE debt. IMF sustainability work keeps the company inside the public perimeter because a hole there is a hole in the state. Sixty-eight public firms sit in the portfolio. Five of them carry about two-thirds of SOE liabilities. Delivery in Yaoundé is not only the finance ministry. It is whether the refinery and the utility close. Cameroonian investors held more than half of CEMAC sovereign securities at end-2024 — about 3,777 billion CFA francs. Yaoundé is an issuer and a regional referee.

Nigeria's leftover lived for years in two exchange-rate windows and a fuel price that did not match the import bill. In 2022 debt service ate more than the revenue on some official tellings. In June 2023 a new administration removed the fuel subsidy in public and unified official FX windows. The naira moved from the mid-four hundreds toward nine hundred by year-end, then further. Revenues in naira jumped. The street paid in inflation. The naira cost of external debt service exploded even when the dollar stock did not. Eurobond service across eight quarters ran toward three billion dollars, most of it interest. A later dual-tranche issue drew a large book. Coverage is not the residual. The residual is whether the unified window stays unified when the calendar turns.

Senegal was the francophone name the cheap decade treated as a signature. Eurobonds from 2009 financed a plan that photographed well. In 2024 a new government audited the books. The Court of Auditors in February 2025 put end-2023 debt near 99.7 percent of output against a printed 74.4. Later tallies pushed the ratio through 118 and, on some Fund language, toward 132. An IMF official said he had not seen hidden debt of that magnitude in Africa. The Fund suspended a programme. Bond prices fell. Regional banks, especially in Côte d’Ivoire, held a swollen stock of Senegalese CFA paper. Legibility failed while the roadshow succeeded. That is forgery with a yield.

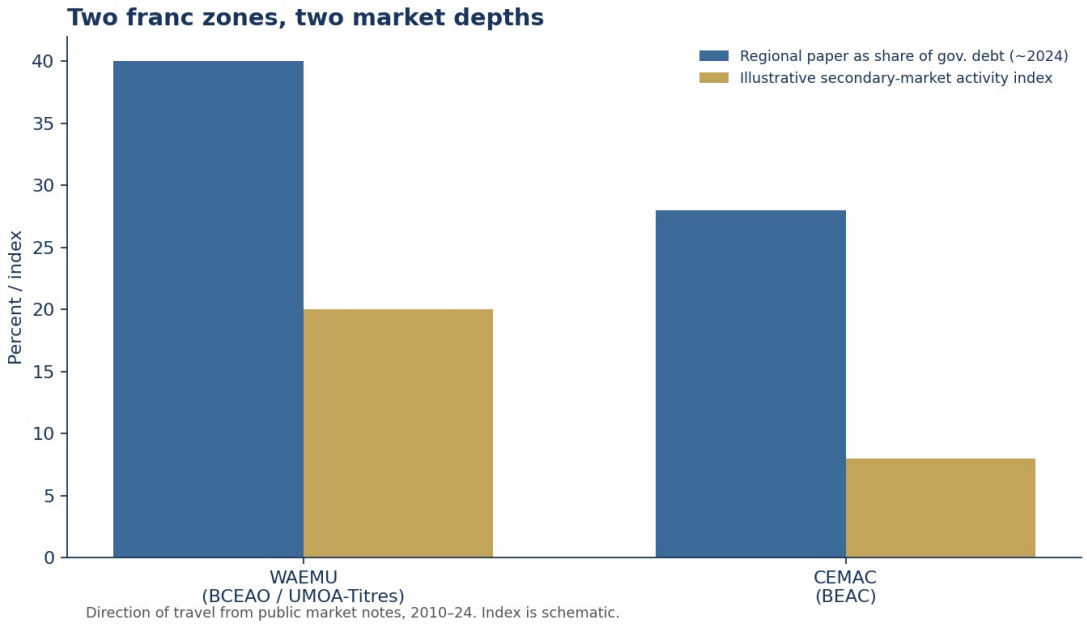


Figure 6. Two franc zones, two market depths.

Part III · How Trust Is Won, Priced, and Lost

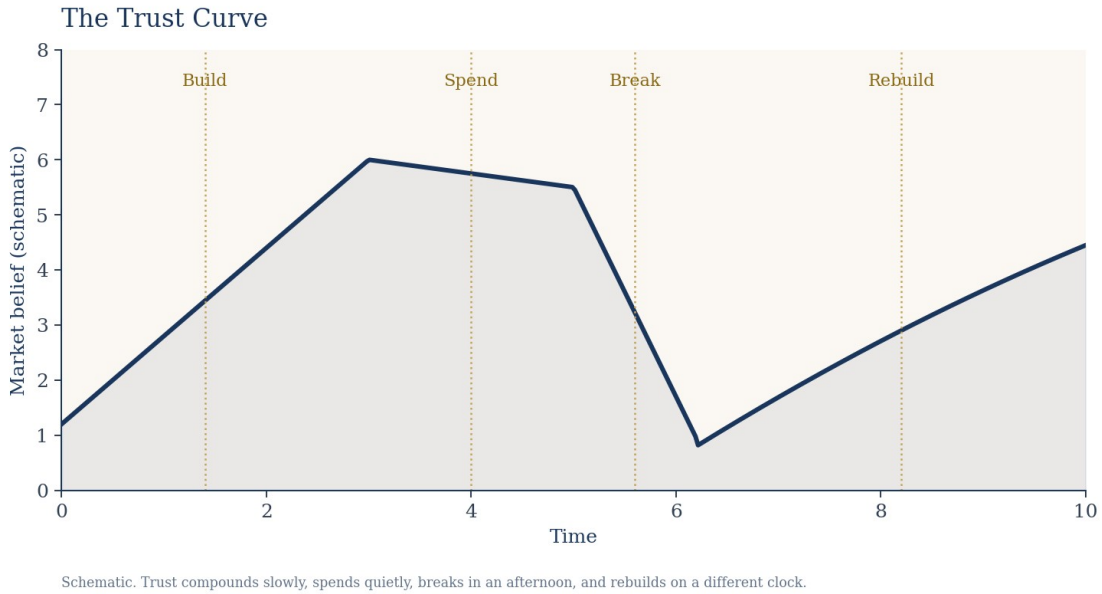


Figure 7. The Trust Curve.

HOW TRUST IS WON, PRICED, AND LOST

Chapter 9 · Forgeries

Forgeries

A forgery, in this book, is not a fake bond printed in a basement. It is a signature that photographs well and does not survive a second look at the books.

The cheap decade produced a style of African prospectus. A plan with a logo. A democracy sentence. A coupon that sounded like membership. Senegal wore that costume longer than most francophone names. Cameroon wore a quieter one: we pay the Eurobond; look at the CAA bulletin. Nigeria wore two windows and called the official one the rate. CEMAC, as a market, wore a third costume still: a regional auction that grew fast enough to look like depth, while the bid came from a short list of banks in two capitals.

A market can be a forgery of depth. That is the CEMAC sentence.

A market that grew up in thirteen years

The BEAC opened a government-securities market in December 2011. Bons du Trésor assimilables — bills of thirteen, twenty-six, fifty-two weeks. Obligations du Trésor assimilables — bonds from two years out past ten. The furniture was copied from a neighbour. WAEMU had already killed central-bank advances and built UMOA-Titres. CEMAC arrived later and thinner.

By December 2020 the Fund could still write the comparison that matters. CEMAC's treasury securities were about 3.8 percent of regional output. WAEMU's were about 11.9 percent. Same language family. Same peg to the euro. Different leftover. Depth is not a translation of the word "marché." Depth is whether a stranger can sell without moving the price, and whether the bid is more than the three banks that already own the last auction.

Then the stock ran.

At the end of 2023 the outstanding book of BTA and OTA sat near 6,413 billion CFA francs. A year later it was 7,437 billion, up sixteen percent. By July 2025 the BEAC's own surveillance council was looking at 9,087 billion — a thirty-one percent jump in twelve months, called a record in the room. January 2026: 9,452 billion. May: a little over 10,000. July 2026: 10,561 billion CFA francs. In dollars that is a mid-teens billion. In the language of six treasuries it is the pipe that remained when Eurobonds became a mood and oil receipts became a rumour.

Cumulative issuance since 2011 crossed 26,000 billion CFA francs of money raised. That number is a history of rollover as much as a history of savings. A market that exists to

refinance last year's bill is a market. It is not automatically a market that can absorb next year's honesty.

Who issues, who holds

Issuance is not evenly a six-country story. It is a three-country story with a tail.

By July 2026 Gabon was the largest name on the book, about 3,424 billion CFA francs, thirty-two percent of the regional stock. Congo sat just behind, about 3,041 billion, twenty-nine percent. Cameroon, the economy the pamphlets call the engine, was third: 2,061 billion, a fifth of the book. Chad, the Central African Republic, and Equatorial Guinea divided the rest. Three oil-and-timber signatures carried four-fifths of the paper.

That concentration is not a curiosity. It is the residual made visible. When Congo and Gabon miss a subscription, the market does not become Cameroon's problem in a press release. It becomes Cameroon's problem in the bid, because the same banks that take Libreville and Brazzaville take Yaoundé.

Who holds is the more important map.

At the end of 2024, investors domiciled in Cameroon held 3,777 billion CFA francs of CEMAC public securities — 50.4 percent of the entire outstanding stock. Gabonese investors held 1,379 billion. Equatorial Guinea held 898. The engine is not only an issuer. It is the bid.

Cameroonian books were not patriotic in the narrow sense. They held their own treasury, about 1,283 billion. They also held Gabon (918), Equatorial Guinea (722), Chad (510), Congo (187), and even Bangui (88). A Yaoundé bank can wake up long Congo without leaving the BEAC's settlement system. That is useful until it is not. Useful is cheap diversification inside a peg. Not is what happens when three oil names have a bad year at once and the holder of record sits in one capital.

The holder of record is mostly a primary dealer. In September 2024 the Spécialistes en Valeurs du Trésor held 61.5 percent of the stock. Institutional investors — insurers, funds — held 19.2. Banks that were not SVTs held 13.7. The BEAC itself held a sliver. Individuals held 3.2 percent. By early 2026 the SVT share on some national slices was still near seventy percent. Chad's retail book, oddly, was thicker than Cameroon's: individuals in N'Djamena held about 108 billion CFA francs of regional paper against 26 billion in Cameroon. Depth that does not reach the street is depth that lives inside a banking licence.

The subscription that fell

A market can print a larger stock and still be getting shallower.

The IMF's 2025 CEMAC staff report put a number on the thinning. Average subscription rates for government securities fell to 43.5 percent at the end of October 2024, from 80.4 percent a year earlier. Yields on OTA approached ten percent. Bills approached seven. Failed auctions — rare before 2023 — became ordinary in Chad, Congo, and Gabon. Congo, staring at a repayment wall, reprofiled government securities in October 2024 to push maturities out.

Those are not the sentences of a market discovering itself. They are the sentences of a market discovering its size.

Cameroon felt the discovery as a loss of privilege. The 2026 Article IV said the regional market was nearing saturation, demand slipping, subscription rates down, and Yaoundé's old competitive advantage on that market no longer a fact you could take to the auction. Cameroon's own stock on the CEMAC book kept rising — 1,572 billion at end-2024, 1,831 in January 2026, 2,061 by July — but the annual growth rate collapsed from the mid-twenties and high-twenties into 4.1 percent. The engine was still issuing. The room was less eager to clap.

Average BTA rates in the year to July 2025 moved from 6.52 to 6.92 percent. OTA from 9.06 to 9.48. Later prints talked about individual obligations touching thirteen. Thirteen percent inside a euro peg is not a panic. It is a leftover. The peg removes the currency costume. It does not remove the question of whether Brazzaville pays.

Secondary trading exists. In the twelve months to July 2025 the surveillance council counted 1,950 purchase-and-sale operations for 4,579 billion CFA francs, against 1,830 operations and 4,210 billion the year before. That is activity. It is not London. A number of trades that still fits in four digits is a market you can name and a market you cannot hide in.

Saturation is a forgery of safety

Ministers like a regional market because it photographs as African self-reliance. Banks like it because the paper can be repo'd and because the alternative, in a thin private-credit market, is to sit on cash. The sovereign-bank nexus is not a CEMAC invention. It is the same loop Italy taught Europe and Nigeria taught itself with treasury bills. The CEMAC version has a sharper edge. Six treasuries. One settlement system. A holder base concentrated in two or three banking systems. Oil in the fiscal arithmetic of the two largest issuers.

When subscription rates fall by half in a year, the forgery is the sentence "we have a market." What you have is a rollover machine with a declining bid. The IMF's language about saturation in both CEMAC and, later, WAEMU is the referee arriving late. The residual arrived when the auctions began to fail.

A failed auction is a public event. It is more honest than a rating letter. It says: at this price, on this Tuesday, the people who live here would not take the paper. Cameroon can still print a Eurobond privately in London at 8.875 percent and call it access. Access in London and a half-empty auction in Yaoundé can live in the same month. That combination is the CEMAC leftover. External access for the name that can still walk into a placement. Domestic-regional tightness for the names that cannot, and for the name that can but no longer owns the room.

Gabon after 2023 learned that a political rupture reprices oil paper even inside a peg. Congo learned that 97 percent of output in public debt, on some Fund tellings for end-2025, is not a regional-market problem only — it is a bid problem. Chad learned that a bill market will fund a war and a harvest with the same short paper until it does not. The Central African Republic remains a tail that Cameroonian books still take in small size, which is either solidarity or a search for yield. Equatorial Guinea can issue and retreat in the same table. The six names are not a union in the sense the prospectus implies. They are a corridor.

The corridor as contagion

S&P spent 2025 telling readers that Côte d'Ivoire's exposure to Senegal was manageable. The WAEMU pipe is larger and older. The CEMAC pipe is smaller and more concentrated. Manageable, in Yaoundé, means something stricter. If Cameroonian institutions hold half the regional stock, a hole in Gabon or Congo is a hole in Cameroonian solvency before it is a headline about the BEAC.

That is why Chapter 9 belongs here and not only in Dakar. Senegal's hidden stock was a forgery of a number. CEMAC's growing book is at risk of becoming a forgery of a market: more outstanding, less bid, same holders, shorter true duration than the OTA label suggests. By July 2026, OTAs were more than eighty percent of the stock on some BEAC cuts — governments reaching for two-to-five-year money to dress a cash problem as an investment problem. Bills were the rest. A market that is four-fifths "bonds" and still fails auctions is a market whose duration is a costume.

France's convertibility guarantee sits under the corridor and has not been drawn since the early 1990s. The residual does not price the guarantee as a put on Gabonese paper. It prices the guarantee as a reason the currency will probably still be there. The paper is another question. BEAC denials of devaluation rumours in January 2026 were a currency sentence. Failed auctions in 2024 were a fiscal sentence. Readers who conflate the two are reading the furniture instead of the invoice.

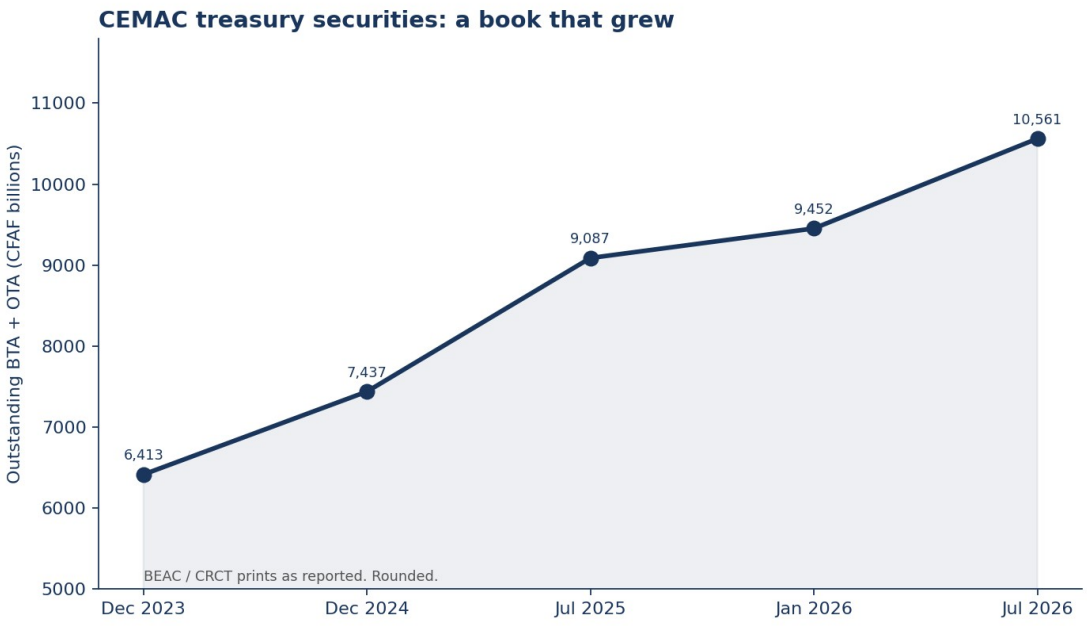


Figure 8. CEMAC treasury securities outstanding.

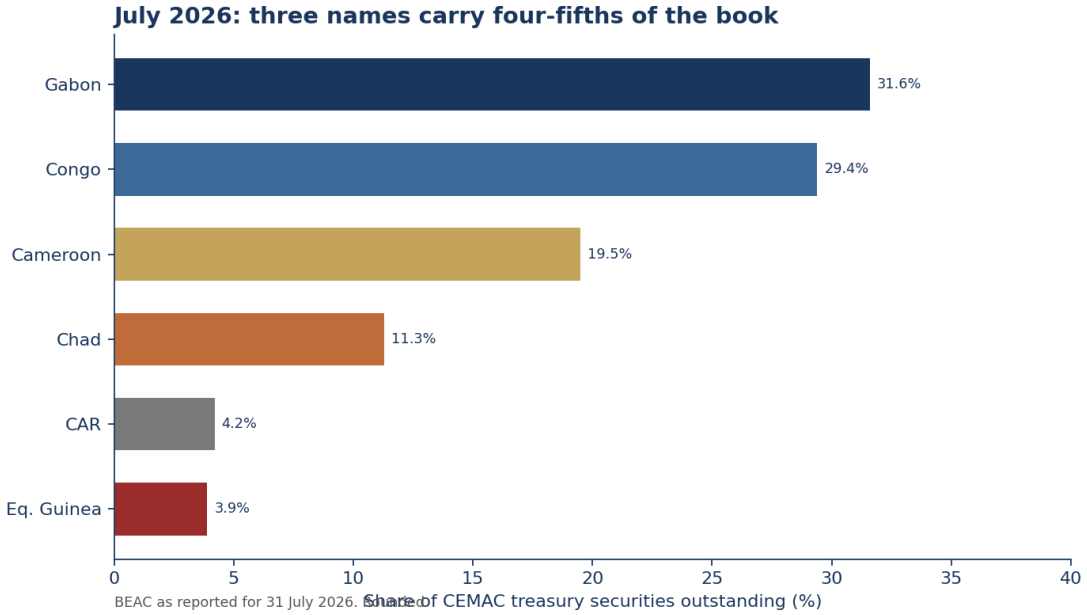


Figure 9. Who carries the CEMAC book, July 2026.

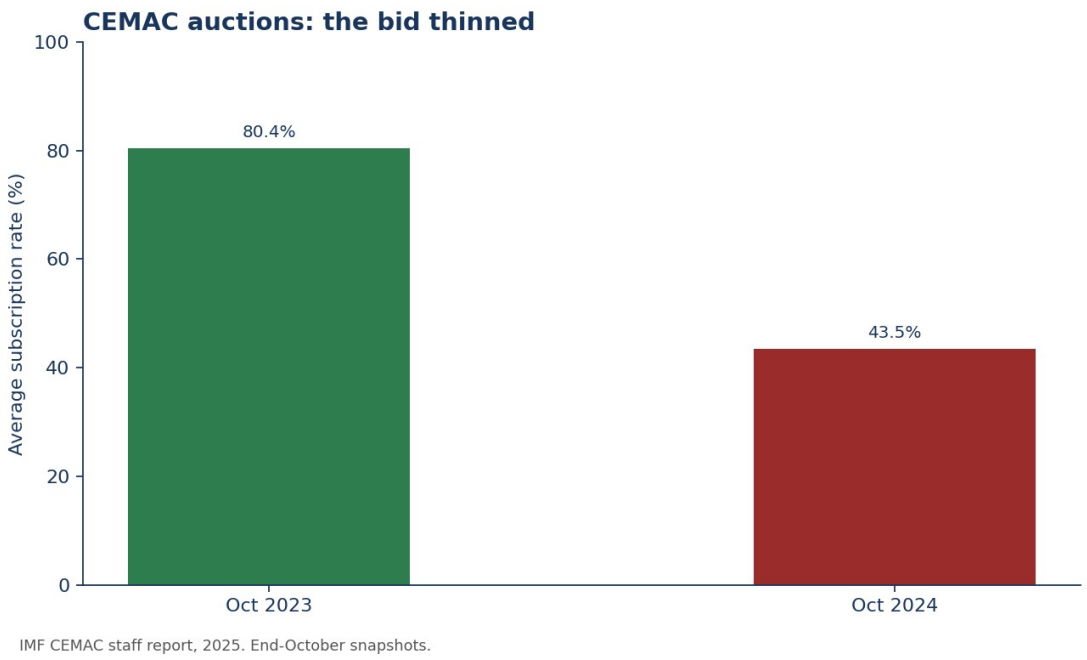


Figure 10. Auction subscription: the bid thinned.

Dakar's printed number

Senegal was the francophone name the cheap decade treated as a signature. From 2009 it issued Eurobonds the way a country issues a calling card. Two hundred million dollars. Then five hundred. Then a billion-one. Then two billion-two in 2018, ten-year and thirty-year paper at 4.75 and 6.75 percent — coupons that, in West Africa, sounded like a country that had joined a different room. A 2021 euro print. A 2024 dollar print at 7.75. The Plan Sénégal Émergent had a logo, a roadshow, and a sentence the market liked: Dakar is serious.

The sentence was incomplete.

In 2024 a new government ordered the books opened. The deficit the previous administration had reported was not the deficit the auditors found. In February 2025 the Court of Auditors put end-2023 public debt near 99.7 percent of output against a printed 74.4. Later reconstructions, including ratings-desk arithmetic, pushed the ratio through 118. Some Fund language later talked toward 132. An IMF official said he had not seen hidden debt of that magnitude in Africa. The Fund suspended a programme. S&P cut. Bond prices fell. A 2028 euro print traded, on one November 2025 day after a prime minister called restructuring a disgrace, near 78 cents on the euro and a yield above 16 percent.

The mechanism was not a secret mine. Much of the unrecorded stock sat in CFA-denominated bank debts and off-budget loans that did not photograph in the tables the Fund and the World Bank were given on schedule. Commitments were not always invisible. A $430 million Afrexim loan was in the press. French, Ivorian, and Chinese banks appeared in

reconstructions of unreported private transactions. The IsDB, Afreximbank, and BOAD appeared on the multilateral side. What failed was the perimeter. Parliament had not authorised what the presidency and the finance ministry had signed. The second term of a president who wanted more time had borrowed as if the calendar were a suggestion.

This is Chapter 8 written backwards. Legibility is not a website. It is whether the number that leaves the ministry is the number that would survive a court of accounts. Senegal had a court of accounts. For years the market treated the printed number as the court. When the court spoke, the leftover moved several hundred basis points in a week and then kept moving.

Côte d'Ivoire learned, in the same season, that a neighbour's forgery is a position in your banks. UMOA-Titres is a regional market. It is also a pipe. When official money paused, Dakar leaned on the regional auction. Ivorian banks were reported as large holders of Senegalese local paper — on one S&P reading, the largest external slice inside the union, with holdings that had jumped by something like 1,200 billion CFA francs in a year. S&P judged Abidjan's exposure manageable. Manageable is not a compliment. It is a residual that has not yet become a headline about your own banks.

A forgery travels. CEMAC has not yet had Dakar's court-of-accounts hour. It has had failed auctions. Those are a different species of honesty. They say the price is wrong today. They do not yet say the stock was wrong last year. A reader of Yaoundé should not wait for the second species. The holder map is already the warning.

Three costumes

There are at least three common forgeries in sovereign paper, and a fourth that CEMAC added.

The first is the roadshow costume: a plan, a logo, a yield that looks like membership. Senegal wore it.

The second is the SOE costume: the ministry's debt is published; the refinery's debt is a specialist's footnote until the specialist is the Fund. Cameroon wears a version of this. SONARA is not a secret. It is a perimeter problem. IMF sustainability work keeps putting the refinery inside the public number because a hole there is a hole in the state. Sixty-eight firms in the portfolio. Five of them carrying about two-thirds of SOE liabilities — SONARA, CAMTEL, CAMWATER, SONATREL, the Douala port. You can publish the Eurobond calendar and still leave the invoice in the plant.

The third is the window costume: two prices for the same dollar, one of them official. Nigeria wore it for years. The official rate did not clear. The parallel rate did. The gap — sixty percent and more — was an implicit subsidy to whoever received the official dollars. Fuel was the second window. A pump price that did not match the import bill. In 2022 debt

service ate revenue on some official tellings until the ratio went through one hundred percent. Duality is a forgery the street already understands. The market understands it later, as a residual.

The fourth is the depth costume: a regional outstanding stock that climbs through 7,000, then 9,000, then 10,500 billion CFA francs while subscription rates fall from eighty percent to forty-three and failed auctions become a habit in the oil names. The stock is real. The bid is the leftover. A market whose bid lives in one country's banks is not a six-country market. It is a concentrated loan with a calendar.

A forgery can be legal in the narrow sense and still be a lie about the signature. The prospectus said the state. The state, when you opened the cupboard, included a refinery, a window, a loan parliament had not seen, and a regional book whose true buyer was a neighbour.

What a reader does on a Tuesday

Take a CEMAC name. Write four lines.

One: the Eurobond or the placement, if there is one, and the coupon.

Two: the stock of BTA and OTA on the BEAC book, and last month's subscription rate if the central bank printed it.

Three: who holds — SVTs in which capital, Cameroonian books or not.

Four: the SOE that would become the hole. In Yaoundé the first answer is still SONARA.

If line two is growing and line two's subscription is falling, you do not have a deepening. You have a rollover. If line three is one country, you have a nexus. If line four is missing from the ministry's pamphlet, you have a perimeter problem.

Senegal's Tuesday, in 2023, would have shown a handsome line one and a lying line two. Cameroon's Tuesday, in 2026, shows a living line one at 8.875 percent, a line two that has lost its old privilege, a line three that makes Yaoundé the referee of other people's paper, and a line four the Fund still has to write into the DSA.

The cheap money in Chapter 1 was a Bund at nothing and a Ghanaian dollar bond through eleven hundred basis points. The expensive honesty in this chapter is a CEMAC bill at seven and a bond at ten, inside a peg, with a bid that is no longer pretending to be a crowd.

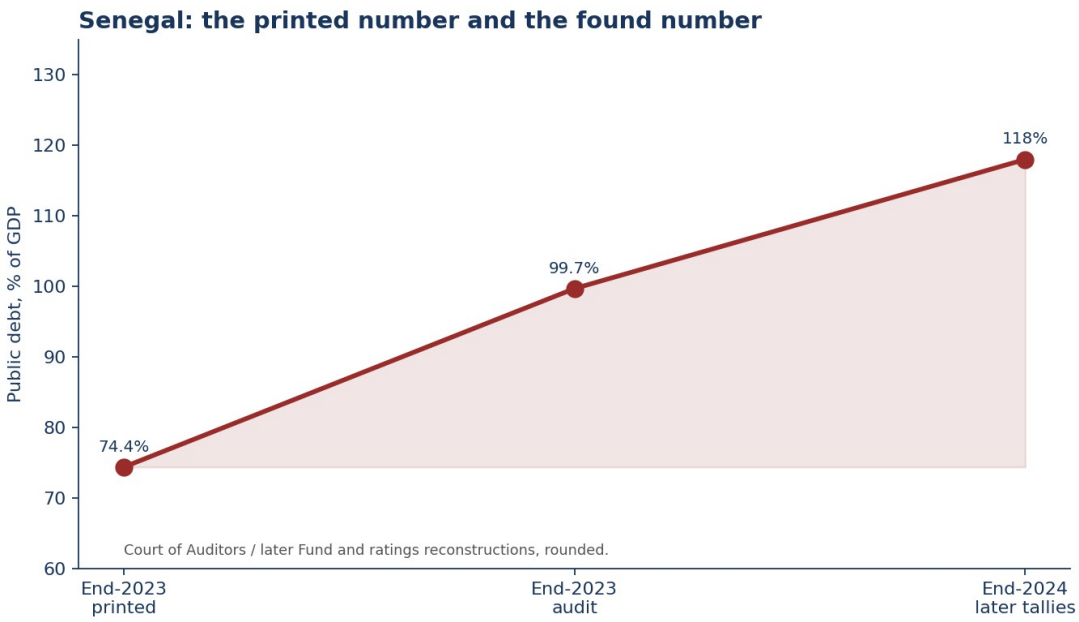


Figure 11. Senegal: printed debt and found debt.

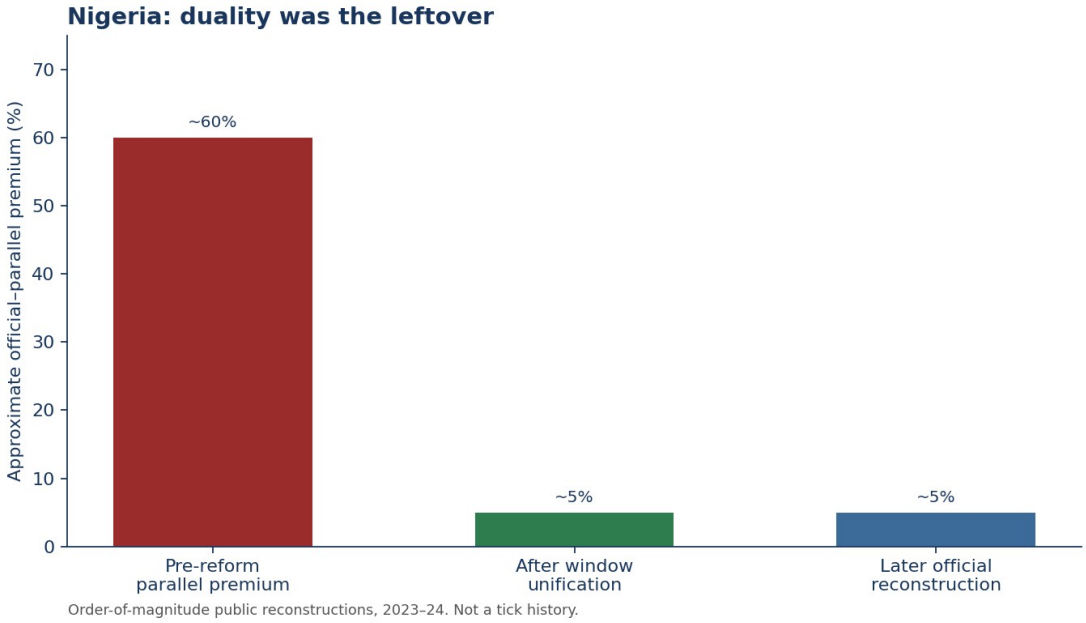


Figure 12. Nigeria's official–parallel premium.

Chapter 10 · The Signature Under Stress

The Signature Under Stress

Stress is the only honest laboratory.

A prospectus is a costume a country wears on a good day. Stress is the day the costume is wet. The four marks do not change their names under water. They become visible. Restraint is whether someone still needs a second signature when the auction fails. Delivery is whether the refinery and the fuel window still close when the street is angry. Repetition is whether last year's honest sentence is still the sentence this year. Legibility is whether the number that leaves the ministry is the number a court of accounts would find after the number has become expensive.

This chapter stays in three rooms that have been wet at the same time: Yaoundé, Lagos, and the Sahel corridor that still uses the CFA furniture while arguing with every club that sat beside it.

Yaoundé: a B that pays, and a room that is tired

Cameroon's stress is not Ghana's door slamming in January 2022. It is a long B with a negative outlook, a refinery that will not close, a regional market that is tiring, and a political calendar that does not rotate on the market's clock.

The Caisse Autonome d'Amortissement publishes. That is not nothing. The 2015 Eurobond amortises. Relics of that issue still had tens of billions of CFA francs to clear in late 2025. A July 2024 private placement of about $550 million at 9.5 percent due 2031, and a January 2026 placement of $750 million at 8.875 percent due 2033, showed that a B name can still print when the book is private and the coupon is honest about the leftover. Fitch, in April 2026, kept B / Negative and treated a new IMF programme as part of the financing plan. Debt, on that telling, was heading toward the low forties as a share of output — below many B peers — after including arrears of more than three months, a sliver of guarantees, and SONARA.

Read that sentence again. The rating includes the things the roadshow would rather discuss second.

The Fund's 2026 file added the sentence ministries dislike more than a letter. Liquidity. Large amortisations, mostly domestic, projected above 6 percent of output a year from 2027 to 2031. A debt stock that photographs as moderate and a rollover that does not. To plug a hole in late 2025 the government took an external bank guarantee for domestic borrowing and an external loan of about 0.9 percent of output at an effective 10.58 percent. That is not a crisis yield in the Ghana-2022 sense. It is a stress yield in the Cameroon sense: the

regional room would not take the paper cheaply, so the name paid a London-adjacent price to stay current.

CEMAC's treasury market, as Chapter 9 measured it, is the other half of the stress. Subscription rates in the zone fell from something like eighty percent to something like forty-three in a year. Cameroon's own OTA subscription sat near 67 percent in the 2026 Fund telling, against a 2021 peak near 97. Bank sovereign exposure near 34 percent of assets. Home bias still strong. Yaoundé's old competitive advantage on that book is no longer a fact you take to the auction. At the same time Cameroonian investors held, at end-2024, 50.4 percent of the entire CEMAC stock. The engine is the bid for Gabon and Congo. A hole in those names is a hole in Cameroonian books before it is a headline about the BEAC.

SONARA remains the mark that does not photograph. The refinery accounts for most listed SOE external debt in the Fund's perimeter. Sixty-eight public firms. Five of them carrying about two-thirds of SOE liabilities. Fitch still expected "direct interventions" to continue in 2026 even after a presidential circular from July 2025 promised to end the practice. A circular is a sentence. Repetition is whether the sentence is still true in December.

The BEAC spent January 2026 denying a devaluation rumour. You do not deny a rumour the residual has not already heard. Reserves were described as comfortable and also projected to slip. Comfortable-and-slipping is a CEMAC sentence. It is not a Bund sentence. The peg is furniture. The paper is the invoice.

What stress reveals in Yaoundé is a split signature. External commercial paper still clears at a coupon that looks like a B. The regional book, which is where the rollover actually lives, is a tired room. Delivery is hostage to a refinery and a set of utilities. Restraint is a long presidency and a fiscal machine that still runs around its own circulars. Legibility is a CAA bulletin that a specialist can use and an SOE perimeter that still takes the specialist. The leftover is not Accra-in-January. It is quieter, and it compounds.

Lagos: the year the costume came off

Nigeria's stress in 2023 was a decision to stop wearing two costumes at once.

An official dollar that did not clear. A parallel dollar that did. A pump price that did not match the import bill. Debt service that, on some official tellings in 2022, ate more than the revenue. Ways and Means advances at the central bank that had become a fiscal pipe with another name. That was the costume. Everyone in Lagos already knew the street price. The market priced the costume as a residual and called it Nigeria.

In June 2023 a new administration removed the fuel subsidy in public and unified official FX windows. The official naira moved from the mid-four hundreds toward nine

hundred by year-end, then further — through fifteen hundred on some official averages in 2024 before settling in a still-weak band. Inflation took the street. Revenues, in naira, jumped because oil receipts were converted at a rate that looked like a market. World Bank reconstructions put Federation revenue from about 5.5 percent of output in the first half of 2023 toward 8.7 percent in the first half of 2024. They also show the subsidy trying to crawl back when pump prices lagged the new import cost. Duality is a habit. Habits return.

The naira cost of external debt service exploded even when the dollar stock did not. Finance-ministry tables put the exchange-rate effect on external service in the trillions of naira. Across eight quarters from late 2023 into 2025, Eurobond service ran toward $2.93 billion, about 83 percent of it interest. The stock of Eurobonds itself rose from about $15.6 billion in mid-2023 toward $17.3 billion. A later dual-tranche issue drew a book officials called a record — on the order of $13 billion of bids for $2.35 billion printed. Coverage is applause. The residual is whether the unified window stays unified when the calendar turns, and whether NNPC becomes a firm or remains a fiscal ghost.

In dollar terms the public-debt stock can fall while the naira stock explodes. A mid-2023 total near $113 billion sat nearer $94 billion by end-2024 on some press reconstructions from DMO tables, while naira valuations more than doubled because the official rate had moved. A reader who only watches the dollar stock will congratulate the government. A reader who watches the service bill in the budget will not. That is stress as arithmetic and stress as photography. Both are real.

The central bank published long-delayed financial statements. That is a legibility event. Ways and Means stock was partly securitised into a longer instrument at a lower rate. That is a restraint event if it holds. Fuel prices that lag the import bill again are a delivery event going into reverse. The four marks, in Lagos, are not a workshop. They are the next budget.

Nigeria is large enough that its leftover moves other people’s leftovers. A naira that finds a level is a West African price signal. A naira that splits into two windows again is a regional rumour. Cameroon and Ghana do not share Nigeria’s currency. They share its neighbourhood and, in the dollar book, some of its investors. Stress in Lagos is never only Lagos.

The Sahel switch

Mali, Burkina Faso, and Niger left ECOWAS after coups and built the Alliance of Sahel States. They remain, for now, inside the CFA furniture even as they argue with the political clubs that sat beside it. When WAEMU closed the regional market to a junta, defaults followed on commercial terms as the rating desks read them: Mali in 2021, Niger in 2023 and again in 2024. That is not a textbook primary-balance story. It is market access as a political switch.

A shared currency can outlive a shared politics. It cannot make a closed regional auction open.

Gold still leaves Bamako and Ouagadougou. Uranium still leaves Niger when the trucks run. The residual on those names is no longer only a coupon. It is whether the signature is a government the market can serve papers on. Investors still holding WAEMU paper issued by the three before the door closed are reading a legal sentence as much as a fiscal one. Redenomination talk is default talk under most rating criteria. The AES conversation about a development bank and a currency is a political sentence. The leftover appears when someone bids.

Stress of this kind is infectious in a way the Fund's CEMAC file already named for a different union. Banks hold neighbours. A closed auction in Niamey is a hole in a balance sheet in Abidjan or Lomé if the paper is still there. The Sahel did not need a hidden-debt scandal to teach that lesson. It needed a communiqué.

Abidjan under a neighbour's weather

Côte d'Ivoire is not the subject of this chapter's worst mornings. That is why it belongs here. Stress is also what happens to the name that is still paying when the neighbour is not.

Abidjan is the WAEMU market's centre of gravity. The BRVM sits there. Ivorian banks hold neighbours' paper. The sovereign has been a frequent, relatively disciplined issuer by the region's standard — $2.6 billion in January 2024, $1.75 billion in March 2025 at 8.45 percent on the dollar print, a CFA tranche sold into international books, a hedge that talked the effective cost down. S&P read the 2025 issue as a chance to smooth amortisations. Exposure to Senegal, on the same desk's telling, was overstated in some headlines and manageable in the banking book.

Manageable is a stress word. It means the leftover has not yet migrated. It does not mean the leftover cannot. A union that absorbed Dakar's regional issuance after official doors closed is a union whose strongest name is, for a season, a shock absorber. Shock absorbers fatigue. Chapter 9 called that a forgery travelling. Chapter 10 calls it weather. Abidjan's signature under stress is whether frequency and hedges survive a year in which the neighbour's yield is sixteen and the regional book is the only pipe left.

What the laboratory shows

Put the four marks against the three rooms.

Restraint. Cameroon still runs circular interventions after promising to stop them. Nigeria named a window and a subsidy; the test is whether the naming holds. The Sahel replaced one political calendar with another and found the regional auction can be switched off.

Delivery. SONARA is the Cameroonian sentence. Fuel that lags the import bill is the Nigerian sentence. Gold and uranium leaving while the auction is closed is the Sahel sentence.

Repetition. Yaoundé's CAA bulletin is a repeated honest act; the circular on interventions is not yet. Abuja's unified window is one year going on three; the market is waiting for the fourth. Bamako's market access is a repetition of closure.

Legibility. The CAA and the DMO publish. Senegal's court of accounts published too late for the last presidency and just in time for the residual. CEMAC subscription rates are in the monetary-policy report if you read to the end. A junta communiqué is legible in a different register: it tells you the referee has left.

Stress does not invent these marks. It removes the makeup. A reader who only watches Eurobond coverage will congratulate Lagos and Yaoundé in the same week a regional auction fails and a subsidy crawls back. The laboratory is not the roadshow. The laboratory is the Tuesday after.

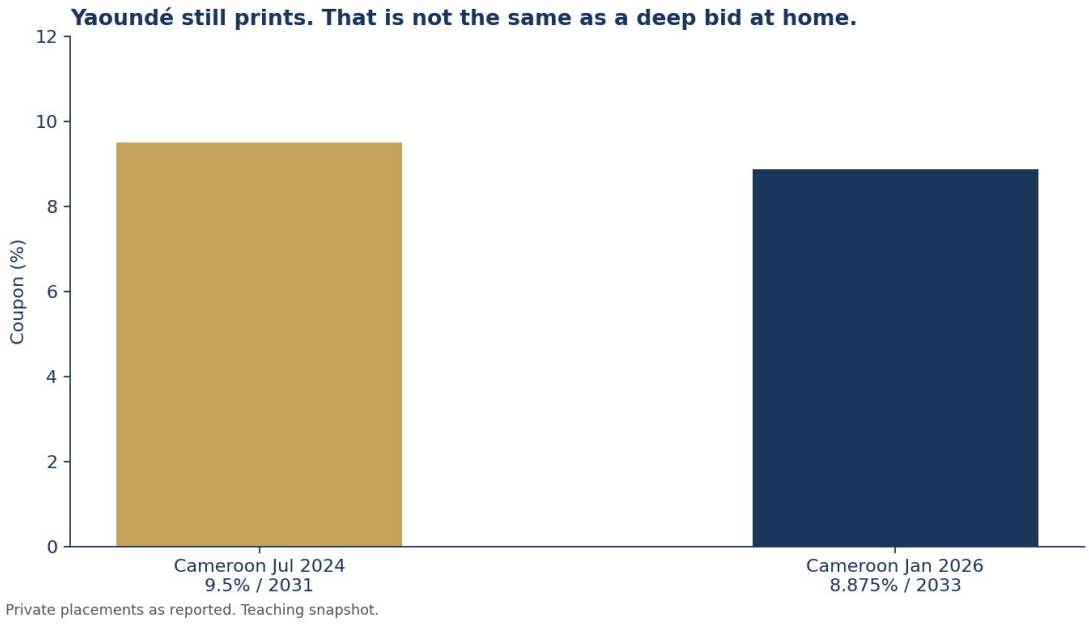


Figure 13. Cameroon still prints externally.

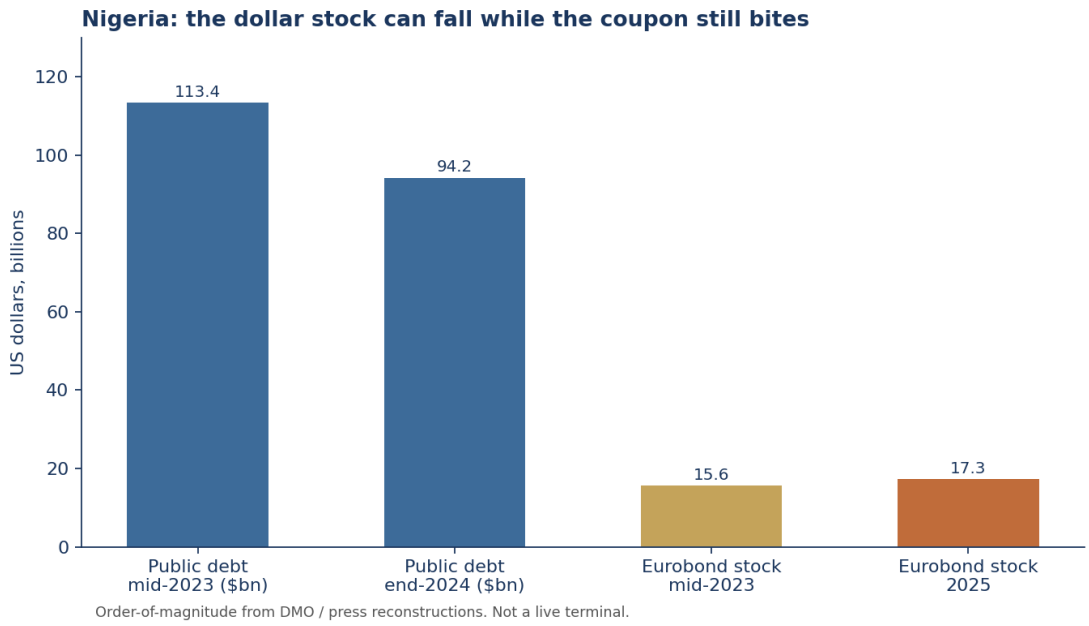


Figure 14. Nigeria: dollar stock and the coupon that remains.

Chapter 11 · The Price of Belief

The Price of Belief

Write five numbers on the same napkin.

Germany, early 2022: something close to two percent on the Bund, after a decade in which the number had been worse than small.

Côte d'Ivoire, in the tighter years after cheap money ended: mid-single digits on a good print after hedges, a frequent issuer by WAEMU standards, the market's centre of gravity in Abidjan. The March 2025 dollar issue of $1.75 billion was said to yield 8.45 percent; after a euro-dollar hedge the effective cost was talked toward 6.4. That hedge is itself a price of belief — belief that the peg will still be there, so the euro side of the book is the side that matters.

Cameroon, January 2026: 8.875 percent on a $750 million placement due 2033. July 2024: 9.5 percent on $550 million due 2031. Same name, two private rooms, coupons that tell you London will still take Yaoundé if the number is honest.

Nigeria, in the service years after unification: secondary yields on vintage dollar bonds that live in the high singles and low doubles, with interest eating about five-sixths of an eight-quarter Eurobond service bill near $2.93 billion.

Senegal, after the audit: a 2028 euro note through the mid-teens on a bad Monday, 78 cents on the euro, a prime minister who would not say restructuring.

Same dollar. Five leftovers. The leftover is not a morality ranking. It is a price for a judgment: will this state still be itself when the coupon is due in a year that has gone wrong.

The unit on the napkin

A hundred million dollars a year on a single billion — the difference between two percent and twelve — is still the unit to keep in the head.

Cameroon's commercial external stock is not Germany's. Nigeria's Eurobond stock in mid-2025 was on the order of $17 billion. Four hundred extra basis points on that stock is roughly $680 million a year. Senegal's Eurobond stock was smaller and still enough, once hidden CFA debts were added, to push the whole public number through one hundred percent of output. CEMAC's regional book in July 2026 was 10,561 billion CFA francs, about $17 billion at the peg. An extra three hundred basis points on that whole book is on the order of 32 billion CFA francs a year — money that sits in six budgets as interest instead of as a road.

The invoice is local even when the dollar is not. A mid-teens yield on a Senegalese euro bond is a Dakar invoice. A 6.92 percent average BTA rate in CEMAC in mid-2025 is a six-capital invoice. A naira service bill that doubles because the official rate moved is an Abuja invoice. The napkin only works if you keep the payer in the room.

What the regional market prices

WAEMU built a government-securities market after 1998 and ended BCEAO advances by 2010. CEMAC moved later and thinner. From 2010 to 2024 WAEMU securities stock grew about twenty percent a year, from under five percent of output toward twenty. Regional paper became something like forty percent of member-government debt on one reconstruction. CEMAC's regional share was nearer twenty-eight in a comparable cut, and the secondary market thinner. By 2024 CEMAC's treasury stock had climbed toward 10.6 percent of regional output, from 3.8 percent in 2020. The climb was real. The neighbour was still larger. In 2024 CEMAC treasuries raised about 5,079 billion CFA francs; WAEMU treasuries raised about 8,127. Côte d'Ivoire alone raised 3,543 billion that year — close to seventy percent of what all six CEMAC states raised together.

That difference is a price of belief among neighbours. It is also a pipe. Senegal's 2025 recourse to the regional market — more than 2,200 billion CFA francs raised in a year on one reconstruction, a jump of 122 percent — is what a name does when official doors close and the Eurobond door is a yield it will not speak. The price of belief, in that season, was paid by Ivorian and other WAEMU banks that took the paper.

CEMAC priced a different kind of belief in 2024: the belief that six treasuries could keep selling to the same SVTs after the stock had quintupled. Subscription rates answered. Forty-three percent is a price. So is a failed auction in Brazzaville. So is Cameroon paying 10.58 percent on an external plug when the regional room would not clap.

Who sets the extra

Three desks, not one.

The London or New York desk sets the dollar extra. It watches the Fed, the rating letter, the last Article IV, and whether the finance minister still answers the same number. Cameroon's 8.875 percent is that desk. Nigeria's dual-tranche coverage is that desk in a generous mood. Senegal's mid-teens print is that desk after a court of accounts.

The regional desk sets the CFA extra. It watches the last subscription rate, the neighbour's oil price, and how much sovereign paper already sits on its own balance sheet. When Ivorian banks are long Dakar, Abidjan is setting a price whether the treasury in Abidjan asked it to or not. When Cameroonian institutions hold half of CEMAC, Douala is setting a price for Libreville.

The street sets the unit extra. Lagos did this for years in the parallel market. Douala does it more quietly in the price of imports. The street is not a desk. It is faster than a rating committee.

A name can look cheap on one desk and dear on another in the same week. That is not a contradiction. That is three leftovers.

Benin, Togo, Gabon, Congo, Chad

Benin and Togo live in WAEMU furniture and do not get Senegal's leftover. Benin's recent habit has been to keep the calendar and stay readable enough that the residual stays inside the neighbourhood. Togo's long political continuity is predictability of who holds the keys, and a question about whether the keys rotate. Both are prices. Neither is Accra-in-January.

Gabon's 2023 rupture repriced a name that had been read as oil plus a family. By July 2026 Gabon was the largest issuer on the CEMAC book, about 31.6 percent of the stock. That is not a compliment. It is a concentration. Congo sat just behind, about 29 percent, with public debt on some Fund tellings near 97 percent of output at end-2025 and a reprofiling of regional paper already behind it. Chad remains a bill-market signature with a war and a harvest in the same short paper. Equatorial Guinea issues and retreats in the same table. The Central African Republic is a tail Cameroonian books still take in small size.

The price of belief in CEMAC is not an average of six names. It is a three-name book with a tail, bid out of two capitals.

Furniture is not a discount

The CFA peg — 655.957 to the euro since 1999, a French convertibility guarantee unused since the early 1990s — is not a yield. It is furniture. Furniture can be load-bearing. It cannot replace a court of accounts. It cannot make an OTA at 9.48 percent into a Bund. It cannot make a dual window into a single price.

People who sell the peg as cheap money are selling the furniture. People who sell the exit from the peg as cheap money are selling a different costume. The price this chapter is after sits after the furniture has been granted. What extra do you still pay? That extra is the belief.

A working conversion

Take a name. Write the coupon or the secondary yield. Subtract the relevant risk-free — Treasury, Bund, or a clean neighbour. Multiply the extra by the stock that actually has to be rolled this year, not the stock that photographs well in a debt-to-GDP ratio.

That product is the annual price of belief, this year, on that pipe.

Do it again on the regional pipe if there is one. Do it again on the street pipe if the official unit is a costume.

Add the three products only as a teaching total. They are not the same currency of pain. A dollar extra hits reserves. A CFA extra hits banks that already own the paper. A street extra hits the sack of rice. A minister who adds them on one slide is performing. A reader who keeps them on three lines is working.

The Trust Residual in Chapter 4 is this conversion after you have granted the textbook — growth, the primary balance, the Fed. What remains is the judgment. Chapter 11 is the conversion before the judgment is named, so the reader can feel the bill in the units the bill is actually paid.

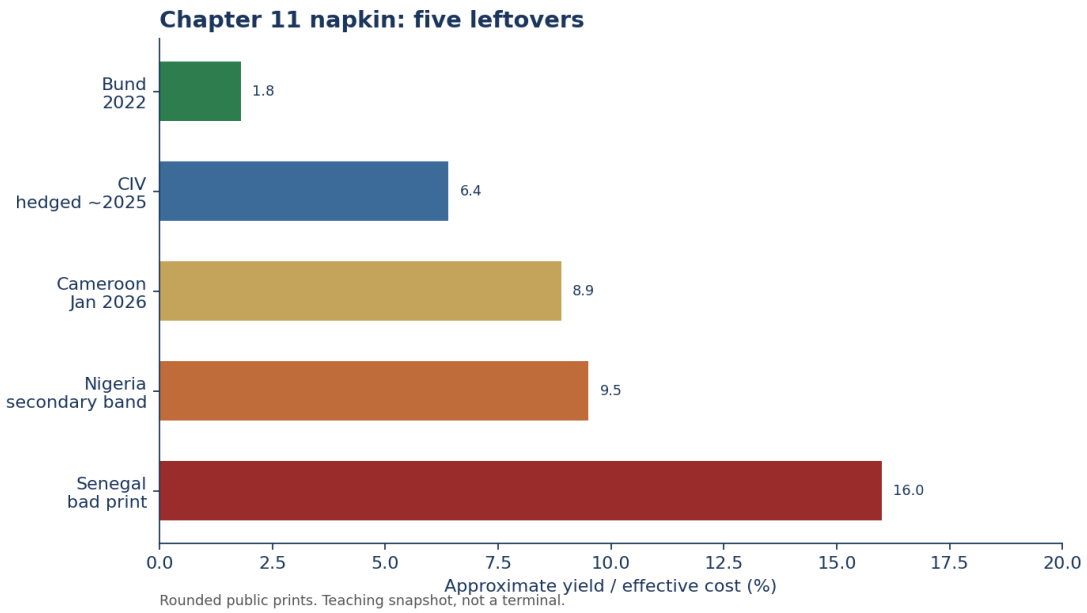


Figure 16. Five leftovers on one napkin.

Chapter 12 · The Referees

The Referees

The referees in this story are not only S&P, Moody's, and Fitch.

They are the Court of Auditors in Dakar that found the stock. The CAA in Yaoundé that publishes the amortisation. The DMO in Abuja that puts Eurobond service in quarterly tables. The BCEAO in Dakar and the BEAC in Yaoundé. UMOA-Titres. The CRCT that settles CEMAC paper. The IMF mission that suspends a programme. The World Bank's International Debt Statistics, which, when they were revised, taught a reader what Senegal had not.

A rating agency is a late referee. It writes a letter after the residual has already moved. Fitch affirming Cameroon at B with a negative outlook in April 2026 was news for mandates that cannot hold a name without a letter. It was not news for the book that had already paid 8.875 percent in January. S&P cutting Senegal after the audit was a letter on a barn door that was already open. When Senegal's dollar extra went to 1,700 basis points in December 2025, the letter was catching a train that had left.

The more interesting referee is the neighbour's bank. When Ivorian balance sheets hold Senegalese paper, Abidjan becomes a referee whether it asked to be one or not. When Cameroonian investors hold half of CEMAC's sovereign stock, Yaoundé is a referee. Regional markets create referees who cannot recuse themselves.

What the two unions' referees actually priced

A referee is only as honest as the price it leaves on the page.

WAEMU's public referee is UMOA-Titres, publishing calendars, stop-outs, coverage. CEMAC's is the BEAC's CRCT and the monetary-policy report you have to read to the end. Both print averages. The averages, set next to each other, are a verdict.

On bills, the verdict in 2025 was almost a draw. WAEMU's weighted bill rate for the year was 7.06 percent. CEMAC's BTA window sat near 6.9 to 7.0. Short paper, same peg, similar cash. The referee called liquidity and the unit, not the signature.

On bonds, the verdict was not a draw. WAEMU's weighted bond yield sat at 7.27 percent for 2025. CEMAC's OTA average sat at 9.48 percent in the year to July 2025 and 9.64 percent in the March-to-March cut after that. Two hundred basis points, give or take, on the longer pipe. That is the regional referee pricing two institutions that were supposed to be twins.

Inside WAEMU the same referee split the class. The Fund's 2025 file put Benin, Côte d'Ivoire, and Togo near 7.1 percent on one-year paper and the rest of the union near 9.6. By February 2026 the external referee — the dollar extra — put Côte d'Ivoire near 350 basis points and Benin near 320, and Senegal near 1,400 after a 1,700 print. Coverage ratios on UMOA-Titres auctions still told a different story from CEMAC's: Benin's small taps oversubscribed, Côte d'Ivoire's ten-year in one May 2026 snapshot covered at 168 percent, while Cameroon in September 2025 took 33 billion of a 60 billion BTA ask.

Inside CEMAC the referee's honest sentence was not the coupon. It was the empty room. Coverage from 71.8 to 63.4 percent in a year. Subscription from 80.4 to 43.5 in the Fund's October pair. Failed auctions in Chad, Congo, Gabon after being rare before 2023. Cameroon's bills from 2.67 percent in 2020 to 6.95 in February 2025. The engine priced as a name that now has to pay.

A reader who only takes the rating letter will think the two unions are a letter apart. A reader who takes the two referees' own tables will think they are two hundred basis points apart on the bond and a political communiqué apart on the names that got banned from the auction.

The official rooms

The Fund and the Bank are referees with programmes attached. A suspended IMF arrangement is a yellow card the dollar desk can see. Senegal learned that in 2024–25. Cameroon's 2026 Article IV treated a new programme as part of the financing plan; Fitch wrote the same assumption into the B. The residual moves before the programme. The programme is how official money re-enters after the residual has spoken.

Debt-sustainability annexes are a perimeter referee. SONARA is in Cameroon's DSA because the Fund refused to pretend the refinery was a private hole. Senegal's hidden CFA loans were not in the tables the Fund was given on schedule; when the Court of Auditors spoke, the DSA became a crime scene. A good official referee is late and still useful. A bad one is late and decorative.

France is a referee of a different kind. It sits in the furniture of the peg. Since the 2019 WAEMU reform it no longer sits in the BCEAO's governing bodies. It still names a minority presence at the BEAC. The convertibility guarantee is an option the residual remembers even when it is not drawn. Critics of the CFA are often right about symbolism and late about the market WAEMU actually built — 11,859 billion CFA francs raised in 2025, a book near 24,000 billion by mid-2026. Defenders of the CFA are often right about inflation and late about SONARA, failed CEMAC auctions, and hidden CFA loans. Both are talking about furniture. The two hundred basis points between an OAT and an OTA are the leftover after the furniture is granted.

The referee who cannot recuse

Banks that hold the neighbour's paper are the referee the methodology deck forgets.

WAEMU banks, in 2025, put more new money into government paper than into loans on one Ecofin reconstruction: securities books up 3,388 billion CFA francs, loans up 2,032. In the third quarter, average government-bond yields sat at 7.11 percent and bills at 6.83, against a lending rate of 6.67 before tax. The sovereign paid more than the private borrower and came with a refinancing window. That is a referee voting with the balance sheet. It is also crowding-out with a coupon.

CEMAC's version of the same vote is harsher because the holder base is narrower. Cameroonian institutions at 50.4 percent of the regional stock cannot recuse themselves from Gabon or Congo. A failed auction in Brazzaville is a mark-to-market event in Douala. The BEAC can deny a devaluation. It cannot make those books less long the neighbours.

When WAEMU barred a junta from the regional auction, the referee took the ball home. Mali in 2021, Niger in 2023 and again in 2024, on the rating desks' reading of commercial default, followed the closed door. That is officiating as politics. It is also the cleanest demonstration that market access is not a ratio. It is a permission.

How to watch a referee

Ask four questions.

Did the letter arrive after the spread had already moved? If yes, the agency is a late clerk.

Did the regional auction clear, and at what stop-out relative to the cousin union? If CEMAC's OTA sits two hundred basis points above WAEMU's OAT, the regional referee has already spoken.

Did a court of accounts or a DSA perimeter change the stock? If yes, legibility just did the work a coupon will now do.

Did a neighbour's bank add or dump the paper? If yes, the referee who cannot recuse has voted.

Chapter 4 called the leftover a looking-habit. Chapter 12 names the people and institutions that pretend to measure it. Some of them do. Most of them confirm what the Tuesday auction already said.

Chapter 13 · Confidence Crises

Confidence Crises

A confidence crisis is a run on a story.

Not necessarily a run on a bank. A run on the sentence the market had been using as furniture. The sentence can be “they can still roll dollars.” It can be “the gilt is dull even when the chancellor is not.” It can be “the printed number is the number.” It can be “the official naira is a rate.” It can be “the regional auction is always there.” When the sentence breaks, the pipes from Chapter 3 open in whatever order the week allows. The leftover from Chapter 4 becomes visible because there is no time left to pretend it was all the Treasury.

Five runs, one anatomy

Ghana 2022 was a run on the story that Accra could still roll dollars. January’s eleven hundred basis points was the first public paragraph. December’s payment suspension was the last. In between, the cedi, the policy rate at twenty-seven percent, interest eating the revenue, a domestic debt exchange that made the captive buyer explicit. The story that died was not “Ghana exists.” It was “the Eurobond window is furniture.”

The United Kingdom in September 2022 was a run on the story that a gilt was dull even if the fiscal event was a surprise. Unfunded tax cuts, the OBR locked out, yields that jumped far enough to break the collateral maths of pension funds that had treated gilts as the one thing that could not need a fire brigade. The Bank of England bought bonds in size. Politics supplied a U-turn. Britain did not become Ghana. It demonstrated that furniture can smoke. The residual on gilts is usually a sliver. For a few days it had a body.

Senegal 2024–26 was a run on the story that the printed number was the number. The Court of Auditors did not invent a crisis. It ended a costume. Debt from 74.4 percent of output on the old page to 99.7 on the court’s page, then through 118 and, on some Fund language, toward 132. A programme suspended. A 2028 euro print through sixteen percent on a bad Monday. The climb of the cheap decade was a story about emergence. The drop was a story about a cupboard. Belief builds slower than it falls. Nothing in the climb is wasted if the new government treats the court as furniture. Everything is wasted if the next presidency learns only that hiding worked until it did not.

Nigeria 2023–24 was not a classic external default. It was a run on the naira’s official costume, which the authorities themselves removed. That is a rare sequence: the state calls the run, then tries to stand still while the street reprices bread. Inflation was the crisis the household felt. The service bill in naira was the crisis the budget felt. The dual-tranche

coverage later was a different story trying to be born. Whether it is a crisis that ended or a crisis that changed clothes depends on whether the window stays unified.

Mali and Niger's market closures were runs of a third kind: the referee took the ball home. When a monetary union bans an issuer from the regional auction, the crisis is institutional before it is arithmetic. Default, in the rating-desk sense, can follow because there is nowhere left to roll the commercial piece. The story that died was "membership is access."

The quiet crisis: an auction that does not fill

CEMAC in 2024–25 did not give the world a Ghana headline. It gave a coverage ratio.

Subscription from 80.4 percent to 43.5. Coverage from 71.8 to 63.4. Failed auctions in Chad, Congo, Gabon. OTA averages toward nine and a half percent while WAEMU's bond average sat nearer seven and a quarter. Cameroon taking 33 billion of a 60 billion BTA ask on one September 2025 Tuesday, at 6.2 to 6.75 percent, after years of being the name that still borrowed cheap.

That is a confidence crisis without a single door slamming in London. The story that thinned was "six treasuries can keep selling to the same SVTs." The residual did not need a coup or a court of accounts. It needed a stock that had quintupled and a bid that had not.

A quiet crisis is easy to miss if you only watch Eurobonds. Cameroon could still place $750 million at 8.875 percent in January 2026 while the regional room was tired. Two stories, two speeds. The crisis is the gap between them.

What a crisis is not

It is not the same thing as a recession. Output can fall without the signature breaking. It is not the same thing as a devaluation rumour. The BEAC can deny a rumour for a reason and still have a bill market that will not clear. It is not the same thing as a rating cut. The cut is usually the clerk.

It is not always a surprise. Ghana's arithmetic was visible in 2021. Senegal's second-term borrowing was visible to anyone who was not using the printed table as a pillow. Nigeria's dual window was visible to anyone who bought dollars on the street. The surprise is only ever the moment the official sentence gives up.

The Trust Curve, in a bad week

Belief builds slower than it falls. That sentence is cheap to write and expensive to live.

Building is Botswana's decades, Chile's panels, Côte d'Ivoire's habit of showing up on the calendar, Korea's four-month return to a window in 1998. Falling is January in Accra,

September in London, February 2025 in Dakar, a WAEMU communiqué that closes Niamey, a CEMAC Tuesday that comes back half-covered.

A crisis does not erase the climb. It prices whether the climb was a habit or a costume. Uruguay 2003, which this book uses as a comeback, is the rare fall that kept enough of the habit to be readable in the wreckage. Argentina's many falls are the other pattern: the costume returns with a new name.

On this coast the curve is now a regional object. A fall in Dakar is a position in Abidjan. A fall in Brazzaville is a position in Douala. The crisis travels through the referee who cannot recuse. Chapter 12 named that referee. This chapter is the week the referee has to mark the book.

After the run

The useful question is not "was there panic?" Panic is a weather report. The useful question is which sentence died, and which sentence the state is now asking the market to believe.

Accra asked the market to believe a restructuring could be a new signature. London asked the market to believe the OBR was back in the room. Dakar is still asking the market to believe the court's number is now the only number. Abuja is asking the market to believe one window. Yaoundé is asking the market to believe a circular and a placement at the same time. Bamako is asking a different market, or none.

Chapter 14 is the comeback, which is only a comeback if the new sentence survives a second Tuesday.

Chapter 14 · The Comeback

The Comeback

A comeback is not a roadshow after a crisis. It is a signature that works on a second Tuesday.

Korea after 1998 came back because the sequence was public and not reversed: the books, the banks, the four-billion-dollar issue at 345 and 355 basis points over Treasuries while the recession was still in the room. Uruguay in 2003 came back because the reprofiling was readable — time more than insult, participation near ninety-three percent — and because the neighbour's collapse was not allowed to become a confiscation story in Montevideo's banks.

Those are the teaching returns. This chapter asks what a return looks like when the furniture is a peg, the referee is a neighbour's bank, and the cupboard may still contain a loan parliament did not see.

What would count

Four tests, none of them a slogan.

One. The number that leaves the ministry is the number a court of accounts would find, twice. Senegal's comeback, if the word becomes fair, begins when the court's page is the only page for two budget years, not when a prime minister refuses the word restructuring. A single honest audit is a crisis tool. A second honest audit is a habit.

Two. The plant is either recapitalised, sold, or closed on terms a stranger can read. SONARA is Cameroon's test. A placement at 8.875 percent is access. It is not a comeback. A comeback is a perimeter that stops needing a specialist footnote.

Three. The window stays unified after the election calendar turns. Nigeria named the costume in 2023. The comeback is 2027 still living with one official rate and a pump that does not recreate the subsidy as a ghost. Reserves reconstructions that put net foreign exchange from near-zero toward tens of billions are a sentence the residual hears. A subsidy that crawls back is a sentence it also hears.

Four. The regional book is a market, not a captive rollover for the name that hid the stock or the name that failed the auction. WAEMU cannot make Dakar's leftovers disappear by parking them in Abidjan forever. CEMAC cannot make Gabon and Congo cheap by selling them to Douala forever. A comeback for the unions is a bid that is not one capital.

Abidjan's quieter claim

Côte d'Ivoire's claim is the claim of a frequent issuer that did not become Senegal. Hedges that turn an 8.45 percent dollar print into something nearer 6.4 effective. A CFA tranche sold into international books. Amortisations smoothed. Euro extras that sat near 350 basis points when Dakar's sat near 1,400.

That is not a comeback from default. It is a comeback from neighbourhood weather. The test is whether Ivorian banks can carry a neighbour without becoming the neighbour. S&P's "manageable" is the official word. Manageable fatigues. If UMOA-Titres becomes the only pipe for a name the dollar desk will not take, Abidjan's leftover will migrate. Frequency is delivery. It is not immunity.

Benin, smaller, has been paying a scarcity-and-discipline premium — taps that clear cheaper than the benchmark issuer on some short paper. That is a mini-comeback of reputation, not of crisis. It will last as long as the taps stay small and the books stay readable.

Yaoundé's smaller word

Cameroon's comeback, if the word is fair, is smaller than a Korean window.

Keep paying the Eurobond. Narrow SONARA. Stop the interventions Fitch still expected after the circular. Treat the CAA bulletin as a floor. Accept that the CEMAC book will not again be a room in which Yaoundé borrows at under 3 percent on bills while holding half the neighbours' paper. A 4.1 percent annual rise in Cameroon's CEMAC stock after two years of mid-twenty and high-twenty growth is not glory. It is a bid setting a speed limit. Living inside that speed limit is delivery. Calling it a return to 2020 cheapness would be a costume.

The BCEAO cannot do this work for Yaoundé. Different union, different cupboard. The BEAC can deny a devaluation and still not build a thicker bid. A CEMAC comeback is six treasuries issuing less, or a holder base that is not 50 percent Cameroonian. Neither is a press release.

What the peg can and cannot bring back

The peg will not deliver a comeback. It can prevent one kind of fall — a floating currency in a panic week — and it can make the return look like a coupon rather than a cross. Uruguay had to save banks and stretch bonds. A CFA name in trouble has to save a perimeter and a bid. The unused French put is a floor under the unit, not under the paper. Korea's lesson translated: do the ugly parts while it hurts, and do not reverse them when the cameras leave. The cameras, here, are a roadshow and a circular.

Eco, as a name, is not a comeback either. The 2019 sentence about renaming XOF has not made the leftover cheaper. Autonomy over reserves has not made the BCEAO's

portfolio a development bank. Delivery first, branding second. The market already knew that. The political sentence is still catching up.

After the second Tuesday

A comeback is boring on purpose. The coupon gets paid from revenue. The court publishes. The window holds. The neighbour's bank can sell without starting a story. The residual compresses because the future tense of the state stopped being a threat.

If the new sentence needs a third costume — a new window, a new circular, a new plan with a logo — it was not a comeback. It was Chapter 9 with better lighting.

Chapter 15 · The New Frontiers

The New Frontiers

The new frontier is not a slogan about Africa rising. It is a set of pipes that still price a leftover.

The pipes that already exist

Eurobonds remain a pipe. They are also a mood. When the mood is generous, Benin can reopen a 2038 at 6.2 percent and sell a sukuk at 6.9. When the mood is not, Senegal's extra lives at 1,400 basis points and Cameroon pays 8.875 in a private room. The pipe did not disappear. The residual on it widened.

WAEMU and CEMAC auctions are the pipe that is left when the mood closes. UMOA-Titres raised 11,859 billion CFA francs in 2025. CEMAC's book crossed 10,561 billion outstanding by July 2026 and raised less, at worse coverage. That is not a new frontier. It is the old frontier doing more work than it was built for. A frontier that is also a captive — banks holding more new sovereign paper than new loans — is a frontier that crowds out the factory Chapter 3 named.

Private placements are a pipe that does not require a roadshow. Cameroon's 2024 and 2026 dollars were that pipe. Useful. Opaque to the citizen. Priced. The leftover is in the coupon; it is also in the fact that the public calendar was not enough.

Chinese bilateral stock remains a pipe. In Cameroon it has been a declining share of external debt even while the absolute number stayed large. Multilateral stock is a pipe that comes with referees. Official money is not cheap in the political sense. It is cheap in the coupon sense, and it is a sentence about which cupboard you are willing to open.

The pipes that are being sold

Eco, as a name for the XOF, is a political frontier that has not yet become a market. The 2019 sentence kept the peg and the guarantee and changed the fittings. The leftover did not move because the letters on the note might. ECOWAS's older eco project — a wider West African currency with inflation at or below 5 percent, deficit at 3, reserves covering three months of imports, central-bank financing capped at 10 percent of last year's tax take — is a different animal. In 2024, on one telling, only Benin and Cabo Verde printed all four at once. Ghana and Nigeria, without which the project is a club, were not in the room. A currency that requires those two to converge first is a frontier with a waiting room.

The AES three talk about a development bank, a common market, even a currency. Talk is not a leftover. A leftover appears when someone bids. Until then the frontier is the CFA

they have not left and the ECOWAS they have. Redenomination talk is default talk under most rating criteria. The market already priced that as a closed auction.

Climate money, ESG-linked sovereigns, and diaspora bonds will be sold as new frontiers. Some of them will be real pipes. A catastrophe clause that actually defers a coupon after a flood is delivery. An ESG coupon that does not survive a court of accounts is Chapter 9 with a green logo. Diaspora paper that a worker in Paris or Houston will hold through a bad Tuesday is repetition. Diaspora paper that is only a speech on 7 August or 1 October is a camera.

Sukuk have already joined the ordinary kit. Benin's 2026 seven-year is a pipe, not a philosophy. Islamic structure does not abolish the residual. It changes the legal wrapper the residual wears.

Reserve management as a quiet frontier

The BCEAO's pile — tens of billions of dollars, mostly still in European sovereigns after the operations account closed — is a frontier the pamphlets promised would "come home." It has not. Security first is a delivery choice. It is also why the reform of 2019 was institutional, not developmental.

The BEAC's pile is smaller and still partly in Paris. 7,329 billion CFA francs of reserves at end-2024. An operations account that shrank from 4,807 billion to 3,669 billion across 2025. Centralisation down from 92 percent to 63.5. Gabon negative. Gold ounces unchanged, gold value up because the world price moved. A salle des marchés that made 285 billion in 2024. That is competence. It is not a new development bank. Anyone selling reserve diversification as a substitute for SONARA or a filled auction is selling a frontier that will not pay the coupon.

What will still be true

Every new pipe will still price a Trust Residual.

A digital eco at 655.957 is a peg with an app. A climate bond for a name whose court of accounts is decorative is a costume. A CEMAC placement into a sovereign-wealth sleeve in Abu Dhabi is a private room with a longer flight. A Nigerian diaspora note is one window or two, wearing a flag.

The four marks do not retire. Restraint is still who may say no when the new pipe is cheap. Delivery is still whether Thursday's cash arrives. Repetition is still whether I will recognise the state in five years. Legibility is still whether a stranger can inspect the cupboard without a cousin.

The frontier, if the word is honest, is a thicker regional bid that is not one capital, a perimeter that includes the plant, a window that stays one window, and a criterion — 3 percent, 70 percent, a wage bill — that is nailed back to the wall and kept there after the cameras leave.

Until then the new frontier is the old leftover, offered a different prospectus.

Scorecard

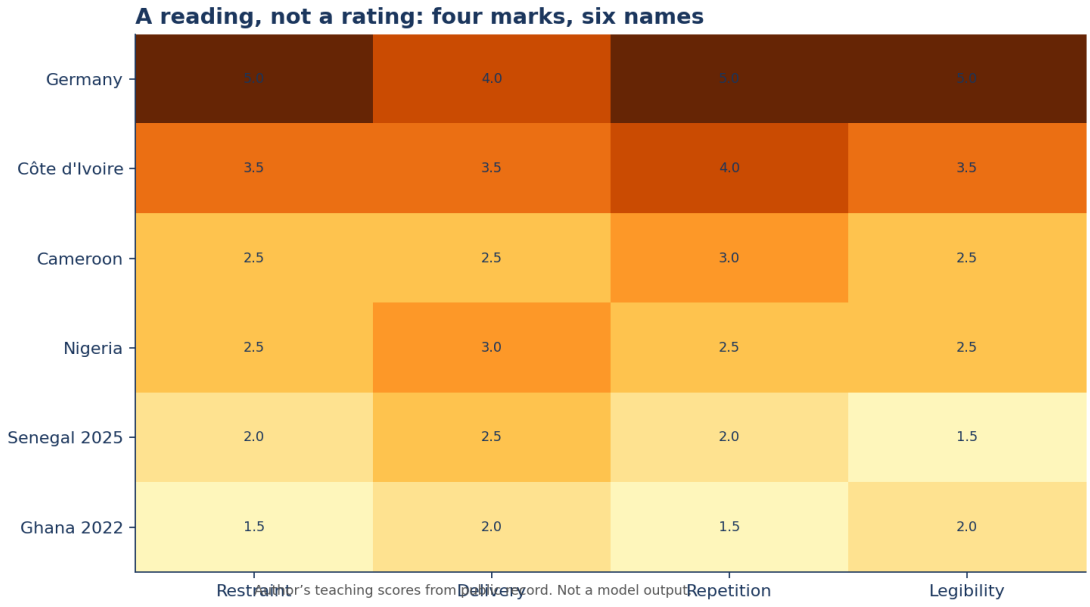


Figure 17. Four marks, six names — a reading, not a rating.

Part IV · The Trust Dividend

THE TRUST DIVIDEND

Chapter 16 · How to Read a Country

How to Read a Country

You do not need a mandate. You need a habit.

If you live there

Look at three public numbers and one public fight.

The local yield on a government bill or bond, if there is a market that is not entirely captive. Rising bills while officials say conditions are stable is a sentence.

The official inflation print, and whether anyone is allowed to laugh at it.

The reserve figure, and whether imports of essentials are getting harder to match with the figure.

The fight: who was sacked after the last inconvenient print, the last lost court case, the last failed auction.

Then look at the supermarket. The street-level price level is a referee the ministry does not appoint. If the street and the print have divorced, believe the street until they remarry.

You are not trying to become a hedge fund. You are trying to know whether your salary is a claim on a unit of account that the rest of the world still treats as a fact.

If you invest other people’s money

A one-page card.

Restraint: who can say no to a windfall? Has that person ever done it?

Delivery: is the coupon coming from revenue or from a hoped-for issue?

Repetition: what did they do after the last programme, the last election, the last commodity slump?

Legibility: can a stranger find the debt stock, the arrears, and the true deficit without a fixer?

Write the four answers in sentences, not traffic lights. Then look at the residual on the napkin from Chapter 4. If the card is ugly and the residual is tight, you are being paid to be the last believer. Sometimes that pays. Often it is how a year gets its name.

This card is not a credit memo. It will not satisfy compliance. It will keep you from treating a growth story as a signature.

If you hold office

Ninety days is not a rebuild. It is a start that the screen can see.

Publish the hole.

Stop bullying the statistics office.

Give the debt-management office a calendar and do not use it as a campaign prop.

If you need the Fund, do not describe the Fund as a colonial accident in the morning and a partner in the afternoon.

Pick one subsidy that is really a gift to people who vote for you and cut it in a way that can be measured.

None of this is a nation-building agenda. Nation-building is slower. Ninety days is how you tell the residual that a different handwriting has entered the file.

Chapter 17 · When Rich Countries Lose the Habit

When Rich Countries Lose the Habit

The Bund treatment is not a birthright.

Advanced issuers live inside a cushion: deep local markets, a reserve currency or a seat next to one, pensions that must own the paper, a history that makes a default sound like a category error. The cushion is real. It is also how habits die. A country that cannot imagine being doubted will eventually give the market a reason.

The gilt hour

September 2022 was not a default. It was a reminder that unfunded promises, delivered without a referee, can move a G7 curve far enough to threaten the plumbing of pensions. Thirty-year yields printed numbers that belonged in a textbook about emerging markets. The Bank of England spent tens of billions to damp the fire. Politics supplied a reversal. The signature, scuffed, held.

The lesson is not that Britain is Ghana. The lesson is that the mechanism does not require a tropical climate. It requires a moment when the people who lend you money decide they no longer know who you are.

The ceiling and the letter

The United States argues, on a schedule, about whether it will pay bills it has already incurred. The argument is domestic theatre until it is not. Rating agencies have, in recent years, been willing to treat the theatre as a mark. Markets have, so far, treated Treasuries as the core rate anyway, because the alternative unit of account is not ready and the paper is the world's collateral. That is a privilege. Privileges are residuals with a flag on them. They last until a substitute appears or until the theatre produces an actual missed payment. Neither has happened. Either could.

Europe's quiet residuals

Italy and Germany do not face the same invoice inside the euro. The difference is not sunshine. It is a judgment about fiscal furniture and political capacity under a shared central bank. Every few years the judgment wakes up, gets a nickname — spread, fragmentation, whatever the year requires — and then goes back to sleep under a promise from Frankfurt. Sleep is not the same as disappearance.

Why this chapter sits before Africa

Because the climax of the book is not a sermon about other people. If you read this in London or New York, you already live inside a signature that can be scuffed. The residual on your own paper is small until it is not. The four questions work on you. They are not a development agenda. They are a description of how money decides to stay.

Chapter 18 · The Next Sovereign Signature

The Next Sovereign Signature

Cheap money is not a gift of geography. It is a reputation a state can still decide to earn, slowly, in public, against every incentive to loot the short term.

That sentence is the book. The rest was evidence.

What the canon underweights

The standard sovereign-finance library still treats African and many emerging issuers as a subsection: a crisis chapter, a development chapter, a paragraph about local-currency markets. The next fifty years of issuance, of climate money, of demographic weight, of the argument about whether the dollar remains the only serious unit, will not fit in a subsection. The signatures that will matter are being written now, in rooms in Accra and Nairobi and Abuja and Cairo and Johannesburg, and also in Jakarta and São Paulo and Ankara. Some of the handwriting will be good. Some will be forgery. The screen will not be polite about the difference.

Ghana's 2022–24 cycle is not a parable about an incapable continent. It is a parable about a capable state that used a cheap decade as if the decade were a personality, then met a Fed that did not care about the personality. The rebuild will be judged by whether restraint and repetition show up after the cameras of the exchange have gone. That is the same test Korea passed and others have failed. The test does not know your latitude.

Botswana's long experiment with not eating the rock is not a folk tale. It is a fiscal technology. It is being revised because the rock is less generous and the rules were softer than the speeches. Revision is part of repetition. The countries that treat the Botswana file as a museum exhibit will miss the useful part: a windfall can be institutionalised, and the institution will still need enemies who are allowed to win arguments.

The trap the hopeful books skip

Some political coalitions cannot afford restraint. Their survival depends on eating the seed corn in public and calling it justice. Markets will not be argued out of noticing. Citizens may vote for the meal anyway. That is politics. This book is not a substitute for politics. It is a description of the invoice that arrives after the meal.

A leader who wants cheap money in a country that has just voted for the meal has a narrower set of honest speeches than the workshop industry pretends. The honest speech is: the coupon will stay expensive until the furniture exists, and the furniture will feel like a loss to someone who eats now. Anything sunnier is Chapter 9.

A screen, not a summit

The last image is not a communiqué.

It is a young officer in a debt-management office, somewhere the old books still file under other, looking at a curve that has finally come in by forty basis points for a reason that will last: a rule that survived an election, a print that survived a minister, a coupon that was paid from tax rather than from hope. Forty basis points on a stock of ten billion is forty million dollars a year. That is not a nation transformed. It is a nation beginning to be believed on a Thursday.

Belief on a Thursday is the cheapest money in the world. It is also the only kind that does not bounce.

The next sovereign signature will be written by people who decide, daily, whether Thursday matters more than the rally. The market is already taking dictation.

Appendix · The Sovereign Trust Toolkit

The Sovereign Trust Toolkit

A. The four marks, as a working scorecard

Score each mark 1–5 from public facts only. Write a sentence. Do not use traffic lights as a substitute for the sentence.

Restraint (1–5). Who can say no to a windfall or a raid on savings? Evidence: fiscal rule with an independent input; courts that bind the government; no recent confiscation of deposits or pensions; a central bank with more than a title.

Delivery (1–5). Does the machine close? Evidence: inflation vs target over three years; primary balance vs promise; arrears; power and logistics that exist.

Repetition (1–5). Did the last good year survive an election and a slump? Evidence: programme completion; rule still in force; statistics commissioner still in post; one commodity cycle handled without a raid.

Legibility (1–5). Can a stranger inspect? Evidence: timely data; debt bulletin; Article IV published; prospectus that matches cash; a DMO that keeps a calendar.

A country with 16–20 is rare and should be cheap unless politics is about to break a mark. A country with 4–8 should not be tight unless an index is forcing the tightness. Everything in the middle is a residual argument.

This scorecard is a descendant of a twenty-indicator research file. The twenty cells belong in a ministry working paper. The four sentences belong on a napkin.

B. Worked signatures (teaching sketches, not ratings)

Germany. Restraint high (debt brake fights are real, but the reflex against inflation is older than the brake). Delivery high. Repetition high. Legibility high. Residual thin. Privilege included: euro collateral.

United Kingdom. Restraint usually high, scuffed in September 2022. Delivery adequate. Repetition demonstrated by the reversal. Legibility high. Residual small, briefly not.

United States. Restraint contested in the ceiling ritual. Delivery high. Repetition high as a payments machine, noisier as a fiscal machine. Legibility high. Residual buried inside the core rate because the world still clears in dollars.

Chile. Restraint institutionalised in the 2000s via panels; softer later. Delivery historically strong. Repetition mixed by the last decade's politics. Legibility high. Residual thinner than most copper peers during the rule's hard years.

Botswana. Restraint above resource peers, framework now under renovation. Delivery decent, concentrated. Repetition real across decades, not perfect. Legibility better than many peers, not Bund-like. Residual a resource-peer discount rather than a Bund.

Korea. Restraint improved after 1997. Delivery demonstrated in the wreckage. Repetition strong since. Legibility chosen in 1998 and kept. Residual a fraction of the crisis print.

Uruguay. Restraint and repetition displayed in 2002–03 relative to the neighbour. Delivery small-open-economy ordinary. Legibility good for its size. Residual a neighbour-risk that faded as the manner of the crisis held.

Ghana. Restraint failed the cheap-decade test. Delivery failed in 2022 in the cash sense. Repetition now the entire question of the rebuild. Legibility was never the main hole — data existed; the arithmetic did not close. Residual went to default and is now a rebuild spread.

Argentina (long cycle). Restraint repeatedly the hole. Delivery bursts and breaks. Repetition the scar. Legibility variable. Residual a personality.

These sketches will age. That is fine. A signature is a living object. If a sketch is still being quoted unedited in five years, someone stopped looking.

C. Napkin residual

Yield minus the relevant core rate minus a honest textbook premium.

If you cannot estimate the textbook premium, use a peer: the average spread of names with similar debt and inflation. Your leftover is the gap to that peer. Peer groups lie when the whole neighbourhood is mispriced. Note the lie and move on.

D. Glossary

Basis point. One hundredth of one percent. A hundred basis points is one percentage point.

Spread. The extra yield over a benchmark, usually a Treasury or a mid-swap.

Eurobond. A bond issued in a foreign currency, often dollars, usually under foreign law, sold to international accounts.

EMBI. A family of emerging-market bond indices associated with J.P. Morgan. A way to talk about a neighbourhood of spreads.

Residual, in this book. The leftover after core rate and textbook fundamentals.

Selective default / SD / D. Rating language for a missed payment on some or all commercial terms.

Collective action clause. A contract term that lets a supermajority of holders bind the rest in a restructuring.

Greenium. The cheapness, if any, of a labelled green bond versus the same issuer's ordinary curve.

Article IV. The IMF's regular surveillance conversation with a member, often published.

Captive market. A local buyer set — banks, pensions — that cannot leave the government's paper.

E. Further reading

Carmen M. Reinhart and Kenneth S. Rogoff, *This Time Is Different*.

Daron Acemoglu and James A. Robinson, *Why Nations Fail*.

Niall Ferguson, *The Ascent of Money* and his Rothschild history, read against Brian Cathcart's demolition of the Waterloo libel.

Abhijit V. Banerjee and Esther Duflo, *Poor Economics*.

Liaquat Ahamed, *Lords of Finance*.

IMF staff country reports on Korea (1997–2000), Uruguay (2002–05), Ghana (2022–25), Botswana, Chile.

Bundesbank and national DMO statistical releases for core yields.

Rating-agency sovereign methodologies (Moody's, S&P, Fitch), read as artefacts.

Jeffrey Frankel on Chile's structural-balance panels.

J.P. Morgan EMBI documentation, for the neighbourhood.

F. Notes on sources for the scenes in this book

Ghana, January 2022 distressed spreads and "worst start" among EM dollar sovereigns: contemporary Bloomberg reporting, 13 January 2022.

Ghana Eurobond stock near $13 billion and interest-to-revenue comments by Ken Ofori-Atta: Reuters, 9 December 2022; Ghana Ministry of Finance debt publications for 2022.

Ghana external interest about $1.28 billion in 2022: Ministry of Finance Annual Public Debt Report 2022.

Ghana cedi depreciation 29.9 percent in 2022 and policy-rate path to 27 percent: Bank of Ghana Annual Report 2022.

Fitch January and September 2022 actions; Moody’s February 2022 Caa1; S&P SD/D language after missed Eurobond payments: agency releases and UN OSAA fact sheet compilation.

Ghana 2024 exchange relief figures: Ministry of Finance presentations at the 2024 IMF/World Bank meetings.

German Bund yields: Bundesbank capital-market statistics.

UK mini-budget: Bank of England and contemporary FT, Reuters, BBC, Guardian tallies of gilt moves and the £65 billion intervention figure as reported at the time.

Korea 1997–98 programme and April 1998 $4 billion issue at 345/355 bp over Treasuries, $12 billion book: IMF staff papers and World Bank reconstruction of the offering.

Uruguay 2002–03 package, Exchange Stabilization Fund role, 2003 exchange participation near 93 percent, NPV discussion: IMF papers and contemporaneous official accounts; John Taylor’s later descriptions of the ESF use.

Chile structural surplus rule and expert panels: Marcel et al., official DIPRES histories, Frankel.

Botswana Sustainable Budgeting Principle, Pula Fund, debt ceiling, diamond shares of exports and revenue: IMF PFM notes and staff reports; World Bank diagnostics.

Rothschild/Waterloo: Brian Cathcart and the Rothschild Archive; treat the horse-and-panic version as libel.

Where this manuscript simplifies a number into a teaching range, the notes above are the place to start, not a substitute for the primary print.

Appendix

The Sovereign Trust Toolkit

This appendix is a looking-habit. It is not software.

1. Write the two invoices

Pick a name. Write the coupon or secondary yield on a billion dollars. Write the Bund or the U.S. Treasury on the same billion. The difference, in dollars per year, is the first sentence you owe a minister.

2. Name the leftover

Ask what share of that difference survives after you have granted growth, the primary balance, reserves, and the policy rate in the reserve-currency country. You will not get a precise number. You will get a remainder. That remainder is the Trust Residual. If someone sells you the remainder to two decimal places for one hundred and eighty countries, they are selling a product.

3. Score the four marks in words, not stars

Restraint. Who can spend without a second signature? Has that rule survived a succession?

Delivery. Do the lights, the ports, the refinery, and the payroll close? Name the SOE that would become the state's hole.

Repetition. Has the honest thing been done twice, on a calendar, by more than one team?

Legibility. Would a stranger, given a week and the official publications, find the same debt stock a court of accounts would find?

Write four paragraphs. If you cannot write them from public documents, that is already a mark.

4. Map the pipes

Eurobond. Regional auction (UMOA-Titres, BEAC securities). Official bilateral. Multilateral. Domestic banks. Private placement. For a WAEMU or CEMAC name, draw the neighbour's banks. For Nigeria, draw the window. For Cameroon, draw SONARA.

5. Date the last honest revision

Senegal's useful date is not the 2018 coupon. It is February 2025, when the Court of Auditors spoke. Nigeria's useful date is June 2023, when the official costume was removed

in public. Cameroon's useful dates are the CAA bulletins and the Article IV that still has to put the refinery in the perimeter. A name with no honest revision date is a name that has not yet been stressed in public.

6. Watch the referee who cannot recuse

Rating agencies are late. Neighbour banks, regional central banks, and courts of accounts are earlier. If Ivorian banks hold the paper, Abidjan is in the room. If Cameroonian investors hold half the CEMAC stock, Yaoundé is in the room.

Notes and sources

Yields and spreads in this book are public prints or contemporary press levels, rounded for a general reader. They are not a live terminal.

Germany and Ghana, January 2022: contemporaneous Bloomberg reporting on Ghanaian dollar-bond spreads near 1,105 basis points and distressed trading across most of the curve; Bund yields from the public record of that winter.

Ghana's interest-to-revenue stress and December 2022 payment suspension: statements by the finance ministry and subsequent rating-agency selective-default actions, as reported at the time.

Cameroon: IMF staff reports and debt-sustainability annexes through the 2026 Article IV cycle; Fitch's April 2026 affirmation at B / Negative; CAA amortisation notes on the 2015 Eurobond; public descriptions of the July 2024 $550 million placement at 9.5 percent due 2031 and the January 2026 $750 million placement at 8.875 percent due 2033; BEAC investor-share figures for CEMAC securities at end-2024; SOE perimeter as described in Fund annexes (SONARA, CAMTEL, CAMWATER, SONATREL, Douala port).

Nigeria: IMF 2024 Article IV and post-financing assessments; World Bank reconstructions of oil revenue, implicit subsidy return, and debt-service-to-revenue; Federal Ministry of Finance underlying fiscal analysis of exchange-rate effects on external service; DMO quarterly external-service tables as reported in the Nigerian press for Q3 2023–Q2 2025; November dual-tranche issuance and order-book figures as issued by the DMO.

Senegal: Court of Auditors findings as reported February 2025; subsequent Fund, S&P, Reuters, and FT reconstructions of hidden stock, programme suspension, and secondary yields; UMOA-Titres and S&P work on Ivorian bank holdings of Senegalese local paper; Eurobond vintage list as compiled in public commentary.

WAEMU and CEMAC market depth: public reconstructions of regional securities growth after 1998–2010; S&P work on AES departures and regional-market bans; BEAC denial of devaluation rumours, January 2026.

Korea 1998 and Uruguay 2003 remain as cited in the earlier chapters from the public issuance and restructuring record.

Teaching figures that decompose a yield into a Trust Residual, or that score four marks on a grid, are the author’s looking-devices. They are not a rating-agency model.

Acknowledgments

Debt-management offices, courts of accounts, statistics services, and central banks that publish even when the print is inconvenient made this book possible. Errors of reading remain mine.

I am grateful to colleagues and students who argued with the four marks until they stopped sounding like a workshop.

About the author

Prof. Kelly Mau Kingsley writes on sovereign risk, public finance, and the political economy of belief. Sovereign Trust is a trade work built from a longer research file on national credibility as a priced asset, with particular attention to African and francophone issuers.

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